



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
REGIONAL OFFICE NO. VII
M.J. Cuenco Avenue, Corner V. Sotto Street, 6000 Cebu City

Local Government Audit Sector
Audit Group LGAS-C Cebu I
Office of the Supervising Auditor

Office of the Sangguniang Bayan
Dalaguete, Cebu

RECEIVED

by: *[Signature]*
JUN: 08 2023 time: 2:27 pm

May 16, 2023

HONORABLE RONALD ALLAN G. CESANTE

Municipal Mayor
Municipality of Dalaguete
Province of Cebu

Office of the Municipal Mayor
Dalaguete, Cebu

RECEIVED

by: *[Signature]*
JUN 08 2023 time: 2:26 pm

Dear Mayor Cesante:

We are pleased to transmit the Annual Audit Report (AAR) of the Municipality of Dalaguete for the calendar year (CY) 2022 pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of the Presidential Decree (PD) No. 1445, otherwise known as the "Government Auditing Code of the Philippines."

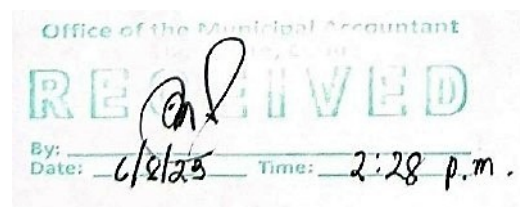
The audit was conducted to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

We conducted the audit in accordance with applicable International Standards of Supreme Audit Institutions (ISSAIs) and we believe that it provides a reasonable basis for our opinion.

We rendered a qualified opinion on the fairness of presentation of the financial statements (FS) for the year then ended.

The details of the Audit Observations are discussed in Part II and the Status of Implementation of Prior Years' Audit Recommendations is discussed in Part III of this Report.

We request that the recommendations be immediately implemented and we will appreciate being informed of the action(s) taken thereon by submitting the attached duly accomplished Agency Action Plan and Status of Implementation (AAPSI) within 60 days from receipt of this report.



We express our appreciation for the valuable support and cooperation extended by the officials and staff of the Municipality of Dalaguete.

Very truly yours,


RHODA C. MORALES
State Auditor IV
OIC-Supervising Auditor

Copy furnished:

1. The Honorable Members of Sangguniang Bayan
Thru: The Secretary, Sangguniang Bayan,
Municipality of Dalaguete, Cebu
2. The Regional Director
Bureau of Local Government Finance
Regional Office No. VII, Cebu City
3. The Regional Director
Department of the Interior and Local Government
Regional Office No. VII, Cebu City
4. The National Library (Soft Copy)
5. The University of the Philippines (UP) Law Center (Soft Copy)
6. COA Commission Central Library (Soft Copy)

Republic of the Philippines
Municipality of Dalaguete
Province of Cebu

AGENCY ACTION PLAN AND STATUS OF IMPLEMENTATION (AAPSI)
Audit Observations and Recommendations
For Calendar Year 2022

As of _____

Ref	Audit Observations and Recommendations	Agency Action Plan				Status of Implementation	Reason for Partial Delay/ Non-Implementation, if applicable	Action Taken/ Action to be Taken
		Action Plan	Person/ Dept. Responsible	Target Implementation Date				
				From	To			

Agency- sign-off:

Name and Position of Agency Officer

Date

Note: Status of Implementation may either be (a) Fully Implemented, (b) ongoing, (c) Not Implemented, (d) Partially Implemented or delayed.



Republic of the Philippines
COMMISSION ON AUDIT
Regional Office No. VII
Cebu City

ANNUAL AUDIT REPORT

ON THE

MUNICIPALITY OF DALAGUETE

For the Year Ended December 31, 2022

EXECUTIVE SUMMARY

Introduction

The Municipality of Dalaguete, Cebu, was created by virtue of Act No. 82, otherwise known as the Municipal Code of 1904. It is located 84 kilometers south of Cebu City; has a land area of 15,496 hectares and is composed of 33 barangays. From being known as a 4th class municipality, it was reclassified to 3rd class in 2002, upgraded to 2nd class in 2005 and eventually classified as a 1st class municipality in 2008.

The Municipality, like other local government units, enjoys total independence in planning, directing, and managing its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable social and economic growth pursuant to the Local Government Code of 1991.

Aside from the Internal Revenue Allotment, the Municipality generated its own income from various economic enterprises such as rentals from market operations and slaughterhouse as well as from other business income.

As of December 31, 2022, the Municipality has personnel complement of 397 comprised of 58 permanent, 327 casual and job orders and 12 elective officials.

Audit Objectives

The objectives of the audit are to (a) ascertain the fairness of presentation of the financial statements; (b) ascertain the propriety of financial transactions and compliance with prescribed rules and regulations; (c) recommend agency improvement opportunities; and (d) determine the extent of implementation of prior years' audit recommendations.

Audit Methodology

The Commission has been implementing risk-based audit in the conduct of its audit services. However, to meet the evolving developments in public governance and fund management, the results-based approach in audit was incorporated.

Scope of Audit

An audit was conducted on the accounts and operations of the Municipality of Dalaguete for 2022. The audit consisted of review of operating procedures, evaluation of the LGU's programs and projects, interview of concerned government officials and employees, verification, reconciliation, confirmation, inspection, and analysis of accounts, and such other procedures considered necessary.

Financial Highlights

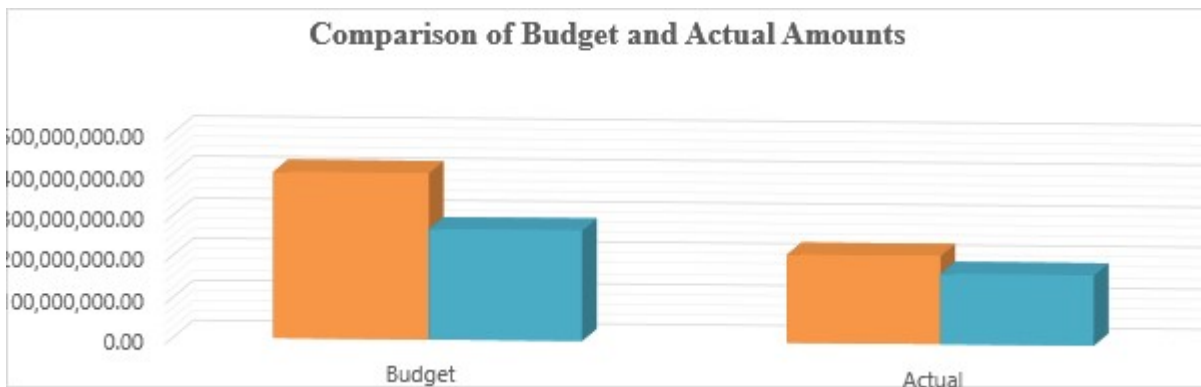
Comparative analysis of the Financial Position of the Municipality of Dalaguete for calendar years (CYs) 2022 and 2021 showed increases in Assets, Liabilities and Equity in the current year, as shown below:



In CY 2022, the Municipality's Financial Performance showed increases in Income, Expenses as well as the Surplus.



The following graph illustrates the Comparison of Budget and Actual Amounts:



Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements, due to the following exceptions which are fully discussed in Part II of this report:

1. Unreliable balances of Property, Plant and Equipment (PPE) accounts with total cost of ₱634.211 million due to the unreconciled difference between the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records totaling ₱410.123 million;
2. The existence and validity of Road Networks account amounting to ₱57.262 million could not be ascertained due to the absence of the Report of the Local Road Network, Report on the Physical Count of Local Road Network, and Local Road Network Ledger Cards, and disclosure in the Notes to the Financial Statements;
3. The Construction in Progress -Buildings and Other Structures year-end account balance of ₱85.017 million includes prior years' infrastructure projects totaling ₱38.634 million with undetermined status of project completion, rendering the account unreliable;
4. Reconciling items in the Bank Reconciliation Statements (BRS) of the Municipality's one current account were not identified due to the failure of the Bank to furnish the agency with the monthly bank statement for November 2022, thus affecting the reliability of the Cash in Bank account amounting to ₱17.433 million;
5. The accuracy and reliability of the reported balances of Real Property Tax (RPT) Receivable and Special Education Tax (SET) Receivable accounts could not be ascertained since the recorded RPT and SET Receivables amounting to ₱9.469 million each at the beginning of the year did not tally with the Certified List of All Real Property Tax Collectibles;
6. Unreliable Due from Non-Government Organizations (NGOs)/ People's Organizations (PO) amounting to ₱414,650.97 which has been dormant for more than ten years;
7. Balances of Due from Other Funds did not reconcile with its reciprocal account Due to Other Funds resulting in a difference of ₱226,395.18; and
8. Unrecorded receipt and utilization of Covid-19 Vaccines with an aggregate value of ₱7.913 million from the Department of Health – Center for Health Development (DOH-CHD) VII and other agencies resulting in the understatement of the Inventory and the related expense accounts.

Significant Audit Observations and Recommendations

In addition to the above-noted deficiencies, below are the significant audit observations and recommendations noted in the course of the audit:

1. *The Municipality had not optimally utilized its current and continuing appropriations for the 20% Development Fund as manifested by significant balances in unobligated allotments of ₱54.390 million contrary to Section 287 of Republic Act (R.A.) No. 7160 and DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1, hence deprived the end-users of the benefits of the timely implementation of the projects.*

We recommended that the Management through the Municipal Planning and Development Coordinator and Municipal Engineer, fast-track the implementation of priority projects for the current and continuing appropriations and ensure that the projects are implemented during the year these are programmed and scheduled to be completed.

We also recommended that the Management through the Municipal Planning and Development Coordinator carefully plan the Development Projects/Activities/Programs under the 20% Development Fund and ensure that these projects are procurement-and implementation-ready.

Finally, we recommended that the Management evaluate the viability of the projects that were not implemented during the year for appropriate realignment.

2. *Unutilized Priority Development Assistance Fund (PDAF) amounting to ₱1.529 million was not reverted back to the National Treasury contrary to the Supreme Court decision dated November 19, 2013, in GR Nos. 208566, 208493, and 209251, thereby, casting doubt on the authority of the Municipality to withhold the said funds.*

We recommended and Management agreed to remit to the Bureau of Treasury the unutilized PDAF aggregating ₱1.529 million pursuant to the Supreme Court Decision dated November 13, 2013 to prevent misuse or misappropriation thereof.

3. *Funds received from various National Government Agencies (NGAs) for the implementation of priority programs and projects totaling ₱27.450 million were not supported with a Memorandum of Agreement (MOA) and remained unutilized as of year-end; thus, the purpose of such funds cannot be identified and were not achieved.*

We recommended that the Management direct the Municipal Accountant to secure copies of the MOA for each fund received from various NGAs and utilize the funds for the intended purposes for the benefit of the constituents.

4. *The Municipality's disbursement for TUPAD Program amounting to ₱12.215 million was not sufficiently supported with documentary requirements contrary to the provisions of Department of Labor and Employment (DOLE) Department Order (DO) Nos. 173-17 and 219-20 and Presidential Decree (PD) No. 1445, thus, the propriety and validity of the disbursed transactions could not be ascertained and could deprive other individuals who may be eligible for the program undermining the state's objective of contributing to poverty reduction and helping the workers in the informal sector.*

We recommended that the Management submit valid justification for submitting incomplete documents to support the ₱12,214,800.00 disbursement for the implementation of the TUPAD Program, and submit the required valid IDs per DOLE DO No. 219-20, for the Audit Team's validation. Henceforth, strictly ensure that the transactions of the LGU are supported with complete documentation that would ascertain its propriety and validity pursuant to PD No. 1445.

5. *Purchased x-ray machine amounting to ₱4.49 million has not been utilized up until the audit date, thus affecting the efficient delivery of quality health services to the constituents and may lead to wastage of government resources due to deterioration/depreciation without attaining its intended use.*

We recommended that the Management end-user prioritize the immediate operation of purchased x-ray machine and likewise, require the BAC to properly plan its undertakings and consider all necessary measures before the procurement/implementation thereof to ensure efficient and effective delivery of services to its constituents.

Summary of Total Suspensions, Disallowances and Charges as of year-end

The reported audit suspensions, disallowances and charges of the LGU as at December 31, 2022 were as follows:

	Beginning Balance (As of 1/1/2022)	This Period January 1 to December 31, 2022		Ending Balance (As of 12/31/2022)
		NS/ND/NC	NSSDC	
Notice of Suspension	₱223,900.84	₱54,089.85.00	₱54,089.85.00	₱223,900.84
Notice of Disallowance	0.00	0.00	0.00	0.00
Notice of Charge	0.00	0.00	0.00	0.00

Status of Implementation of Prior Years' Audit Recommendations

Of the 29 audit recommendations in the prior years' Annual Audit Reports (AARs), 9 were fully implemented, 18 were partially implemented, and 2 were unimplemented by the Management of the Municipality of Dalaguete as of December 31, 2022.

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PART I -AUDITED FINANCIAL STATEMENTS



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

INDEPENDENT AUDITOR'S REPORT

HONORABLE RONALD ALLAN G. CESANTE

Municipal Mayor
Municipality of Dalaguete, Cebu

Qualified Opinion

We have audited the financial statements of the Municipality of Dalaguete, Cebu, which comprise the statement of financial position as at December 31, 2022, and the statement of financial performance, statement of changes in net assets/equity, statement of cash flows and statement of comparison of budget and actual amounts for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matters described in the *Bases for Qualified Opinion* section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Municipality of Dalaguete as at December 31, 2022, and its financial performance, its cash flows, and its comparison of budget and actual amounts for the year then ended in accordance with International Public Sector Accounting Standards (IPSAS).

Bases for Qualified Opinion

As discussed in Part II of this report, the following are the audit observations that affect the fair presentation of the financial statements:

1. Unreliable balances of Property, Plant and Equipment (PPE) accounts with total cost of ₱634.211 million due to the unreconciled difference between the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records totaling ₱410.123 million;
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8. Unrecorded receipt and utilization of Covid-19 Vaccines with an aggregate value of ₱7.913 million from the Department of Health – Center for Health Development (DOH-CHD) VII and other agencies resulting in the understatement of the Inventory and the related expense accounts.

We conducted our audit in accordance with International Standards of Supreme Audit Institutions (ISSAI). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the agency in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a bases for our qualified opinion.

Key Audit Matters

Except for the matter described in the Bases for Qualified Opinion section, we have determined that there were no other key audit matters to communicate in our report.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from materials misstatement, whether due to fraud or error.

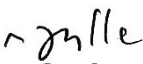
Those charged with governance are responsible for overseeing the LGU's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is high level of assurance, but not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

COMMISSION ON AUDIT

By:


MA. RHONA R. GULLE
State Auditor III
OIC-Audit Team Leader

March 16, 2023



Republic of the Philippines
Province of Cebu
Municipality of Dalaguete

STATEMENT OF MANAGEMENT’S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The management of MUNICIPALITY OF DALAGUETE is responsible for all information and representations contained in the accompanying Statement of Financial Position as at DECEMBER 31, 2022 and the related Statement of Financial Performance, Statement of Cash Flows, Statement of Comparison of Budget and Actual Amounts, Statement of Changes in Net Assets/Equity and the Notes to Financial Statements for the year then ended. The financial statements have been prepared in conformity with the International Public Sector Accounting Standards (IPSAS) and generally accepted state accounting principles, and reflect amounts that are based on the best estimates and informed judgment of management with an appropriate consideration to materiality.

In this regard, management maintains a system of accounting and reporting which provides for the necessary internal controls to ensure that transactions are properly authorized and recorded, assets are safeguarded against unauthorized use or disposition and liabilities are recognized.

SIMEON R. BARRIT, JR., CPA
Chief, Financial and Management Office/
Comptroller

02/14/2023
Date Signed

RONALD ALLAN G. CESANTE, CPA
Head of Agency/
Authorized Representative

02/14/2023
Date Signed

Municipality of Dalaguete
STATEMENT OF FINANCIAL POSITION
As at December 31, 2022
(With Comparative Figures for CY 2021)

	NOTE	2022	2021
ASSETS			
<i>Current Assets</i>			
Cash and Cash Equivalents	4	₱334,158,286.52	₱217,922,476.29
Receivables	5	39,165,185.52	36,517,354.68
Inventories	6	33,665,882.39	17,887,706.80
Prepayments and Deferred Charges	7	3,120,515.39	2,596,114.54
Total Current Assets		₱410,109,869.82	₱274,923,652.31
<i>Non-Current Assets</i>			
Property, Plant and Equipment	8	₱548,360,694.85	₱512,548,317.77
Biological Assets	9	300,000.00	300,000.00
Intangible Assets	10	82,666.51	149,666.59
Total Non-Current Assets		₱548,743,361.36	₱512,997,984.36
Total Assets		₱958,853,231.18	₱787,921,636.67
LIABILITIES			
<i>Current Liabilities</i>			
Financial Liabilities	11.1	₱48,794,638.67	₱31,734,710.02
Inter-Agency Payables	11.2	60,211,880.54	50,548,148.80
Intra-Agency Payables	11.3	19,812,990.32	20,769,255.69
Trust Liabilities	11.4	23,409,161.28	24,946,777.58
Deferred Credits/Unearned Income	11.5	16,828,895.62	12,408,534.72
Other Payables	11.6	3,226,781.72	4,682,153.83
Total Current Liabilities		₱172,284,348.15	₱145,089,580.64
<i>Non-Current Liabilities</i>			
Financial Liabilities	12.1	₱32,456,371.98	₱40,232,426.80
Deferred Credits/Unearned Income	12.2	7,875,559.26	5,845,999.70
Total Non-Current Liabilities		₱40,331,931.24	₱46,078,426.50
Total Liabilities		₱212,616,279.39	₱191,168,007.14
NET ASSETS/EQUITY			
Government Equity		746,236,951.79	596,753,629.53
Total Liabilities and Net Assets/Equity		₱958,853,231.18	₱787,921,636.67

See accompanying Notes to FS

Municipality of Dalaguete
STATEMENT OF FINANCIAL PERFORMANCE
For the Year Ended December 31, 2022
(With Comparative Figures for CY2021)

	Note	2022	2021
Revenue			
Tax Revenue	13.1	₱19,063,938.86	₱20,215,030.52
Share from Internal Revenue Collections	13.2	285,800,022.00	203,656,322.00
Other Share from National Taxes	13.2	55,048.77	129,897.96
Service and Business Income	13.3	29,668,563.14	29,169,545.58
Shares, Grants and Donations	13.4	482,709.83	137,707.57
Total Revenue		₱335,070,282.60	₱253,308,503.63
Less: Current Operating Expenses			
Personnel Services	14.1	₱83,810,364.47	₱77,045,959.07
Maintenance and Other Operating Expenses	14.2	101,858,856.28	81,444,437.19
Non-cash Expenses	14.3	34,722,487.44	29,854,340.81
Current Operating Expenses		₱220,391,708.19	₱188,344,737.07
Surplus (Deficit) from Current Operation		₱114,678,574.41	₱64,963,766.56
Add (Deduct):			
Transfers, Assistance and Subsidy From	13.6	₱1,250,824.61	₱2,049,742.81
Transfers, Assistance and Subsidy To	14.4	(5,913,942.81)	(4,969,717.58)
Miscellaneous Income	13.5	1,852,138.50	145,981.51
Surplus (Deficit) for the period		₱111,867,594.71	₱62,189,773.30

See accompanying Notes to FS

Municipality of Dalaguete
STATEMENT OF CHANGES IN NET ASSETS/EQUITY
For the Year Ended December 31, 2022
(With Comparative Figures for CY 2021)

	2022	2021
Balance at January 1	₱596,753,629.53	₱466,910,281.88
Add (Deduct)		
Change in Accounting Policy	0.00	0.00
Prior Period Errors	46,116,335.38	69,721,041.85
Restated Balance	₱642,869,964.91	₱536,631,323.73
Add (Deduct) Changes in net assets/equity during the year		
Surplus (Deficit) for the period	₱111,867,594.71	₱62,189,773.30
Adjustment of net revenue recognized directly in net assets/equity	(8,500,607.83)	(2,067,467.50)
Total recognized revenue and expenses for the period	₱103,366,986.88	₱60,122,305.80
Balance at December 31	₱746,236,951.79	₱596,753,629.53

Municipality of Dalaguete
STATEMENT OF CASH FLOWS
For the Year Ended December 31, 2022
(With Comparative Figures for CY 2021)

	2022	2021
Cash Flows from Operating Activities		
Cash Inflows		
Collection from taxpayers	₱24,390,059.63	₱25,200,013.85
Share from Internal Revenue Allotment	285,800,022.00	203,656,322.00
Receipts from business/service income	29,646,029.81	27,460,898.58
Interest Income	110,459.43	90,471.39
Other Receipts	199,113,738.64	111,726,596.29
Total Cash Inflows	₱539,060,309.51	₱368,134,302.11
Cash Outflows		
Payments of expenses	(₱44,287,633.54)	(₱43,700,233.85)
Payments to suppliers and creditors	(58,581,845.15)	(23,249,949.28)
Payments to employees	(112,502,759.23)	(82,141,264.86)
Other Expenses	(179,706,785.56)	(131,522,038.37)
Total Cash Outflows	(₱395,079,023.48)	(₱280,613,486.36)
Net Cash Flows from Operating Activities	₱143,981,286.03	₱87,520,815.75
Cash Flows from Investing Activities		
Cash Inflows		
Proceeds from Sale of Investment Property	₱0.00	₱0.00
Total Cash Inflows	₱0.00	₱0.00
Cash Outflows		
Purchase/Construction of Property, Plant and Equipment	(₱19,411,249.33)	(₱12,610,379.03)
Purchase of Intangible Assets	0.00	(94,642.85)
Total Cash Outflows	(₱19,411,249.33)	(₱12,705,021.88)
Net Cash Flows from Investing Activities	(₱19,411,249.33)	(₱12,705,021.88)
Cash Flows from Financing Activities		
Cash Inflows		
Proceeds from Issuance of Bonds	₱0.00	₱0.00
Total Cash Inflows	₱0.00	₱0.00
Cash Outflows		
Payment of Long-Term Liabilities	(₱8,334,226.47)	(₱8,409,743.59)
Total Cash Outflows	(₱8,334,226.47)	(₱8,409,743.59)
Net Cash Flows from Financing Activities	(₱8,334,226.47)	(₱8,409,743.59)
Total Cash Provided by Operating, Investing and Financing Activities	₱116,235,810.23	₱66,406,050.28
Add: Cash at the Beginning of the year	217,922,476.29	151,516,426.01
Cash Balance at the End of the Year	₱334,158,286.52	₱217,922,476.29

Municipality of Dalaguete

Statement of Comparison of Budget and Actual Amounts

For the Year Ended December 31, 2022

(absolute amount)

Particulars					
	Budgeted Amounts		Difference	Actual Amounts	Difference
	Original	Final	Original and Final Budget		Final Budget and Actual
	a	b	a-b	c	b-c
Revenue					
A. Local Sources					
1. Tax Revenue					
a. Tax Revenue - Property	2,000,000.00	2,000,000.00	-	7,542,680.49	(5,542,680.49)
b. Tax Revenue - Goods and Services	7,200,000.00	7,200,000.00	-	11,024,367.52	(3,824,367.52)
c. Other Local Taxes	1,920,000.00	1,920,000.00	-	1,211,577.41	708,422.59
Total Tax Revenue	11,120,000.00	11,120,000.00	-	19,778,625.42	(8,658,625.42)
2. Non-Tax Revenue					
a. Service Income	7,245,000.00	7,245,000.00	-	9,418,061.51	(2,173,061.51)
b. Business Income	16,780,000.00	16,780,000.00	-	20,156,803.25	(3,376,803.25)
c. Other Income and Receipts	550,000.00	550,000.00	-	1,945,836.88	(1,395,836.88)
Total Non-Tax Revenue	24,575,000.00	24,575,000.00	-	31,520,701.64	(6,945,701.64)
B. External Sources					
1. Share from the National Internal Revenue Taxes (	285,800,022.00	285,800,022.00	-	285,800,022.00	-
2. Share from GOCCs	100,000.00	100,000.00	-	482,709.83	(382,709.83)
3. Other Shares from National Tax Collections	50,000.00	50,000.00	-	55,048.77	(5,048.77)
a. Share from Ecozone			-		-
b. Share from EVAT			-		-
c. Share from National Wealth	50,000.00	50,000.00	-	55,048.77	(5,048.77)
Total Revenue and Receipts	321,645,022.00	321,645,022.00	-	337,637,107.66	(15,992,085.66)
Expenditures					
Current Appropriations					
General Public Services					
Personal Services	55,162,017.13	56,330,946.48	(1,168,929.35)	51,358,402.92	4,972,543.56

Particulars					
	Budgeted Amounts		Difference	Actual Amounts	Difference
	Original	Final	Original and Final Budget		Final Budget and Actual
	a	b	a-b	c	b-c
Maintenance and Other Operating Expenses	61,505,034.50	84,130,549.95	(22,625,515.45)	68,353,004.08	15,777,545.87
Capital Outlay	12,815,000.00	34,089,162.70	(21,274,162.70)	12,409,355.96	21,679,806.74
Health, Nutrition and Population Control					
Personal Services	18,517,315.18	15,985,996.97	2,531,318.21	10,721,377.74	5,264,619.23
Maintenance and Other Operating Expenses	31,523,560.00	31,523,560.00	-	8,706,572.27	22,816,987.73
Capital Outlay	3,500,000.00	3,500,000.00	-	116,500.00	3,383,500.00
Social Services and Social Welfare					
Personal Services	3,965,131.96	3,148,799.46	816,332.50	1,893,317.67	1,255,481.79
Maintenance and Other Operating Expenses	9,498,000.00	7,227,900.00	2,270,100.00	3,861,248.55	3,366,651.45
Capital Outlay	90,000.00	90,000.00	-	60,000.00	30,000.00
Economic Services					
Personal Services	23,137,145.46	23,686,288.67	(549,143.21)	19,837,266.14	3,849,022.53
Maintenance and Other Operating Expenses	24,950,355.50	24,950,355.50	-	13,102,564.94	11,847,790.56
Capital Outlay	2,395,000.00	2,395,000.00	-	540,783.54	1,854,216.46
Other Purposes:					
Debt Service					
Financial Expense	8,380,909.82	8,380,909.82	-	-	8,380,909.82
LDRRMF					
Maintenance and Other Operating Expenses	7,269,193.00	7,269,193.00	-	8,004,981.25	(735,788.25)
Capital Outlay	3,700,000.00	3,700,000.00	-	574,000.00	3,126,000.00
20% Development Fund					
Maintenance and Other Operating Expenses	1,000,000.00	1,000,000.00	-	4,905,853.63	(3,905,853.63)
Capital Outlay	54,200,000.59	54,200,000.59	-	10,819,972.66	43,380,027.93
Total Current Appropriations	321,608,663.14	361,608,663.14	(40,000,000.00)	215,265,201.35	146,343,461.79
Continuing Appropriations					

Particulars					
	Budgeted Amounts		Difference	Actual Amounts	Difference
	Original	Final	Original and Final Budget		Final Budget and Actual
	a	b	a-b	c	b-c
General Public Services					
Capital Outlay	3,865,443.81	4,723,467.32	(858,023.51)		4,723,467.32
Health, Nutrition and Population Control					
Capital Outlay	310,635.00	103,611.49	207,023.51		103,611.49
Social Services and Social Welfare					-
Capital Outlay	503,585.01	153,585.01	350,000.00		153,585.01
Economic Services					-
Capital Outlay	451,500.00	150,500.00	301,000.00		150,500.00
Other Purposes:					-
Capital Outlay	38,056,945.46	38,056,945.46	-		38,056,945.46
Total Continuing Appropriations	43,188,109.28	43,188,109.28	(0.00)	-	43,188,109.28
Total Appropriations	364,796,772.42	404,796,772.42	(40,000,000.00)	215,265,201.35	189,531,571.07
Surplus (Deficit) for the period	(43,151,750.42)	(83,151,750.42)	40,000,000.00	122,371,906.31	(205,523,656.73)

NOTES TO FINANCIAL STATEMENTS

Note 1 - Profile

The Municipality of Dalaguete was once a barrio of the municipality of Carcar which is 44 kilometers away. It was organized as a separate town and parish after its people under the leadership of Gogo, chief of the barrio Obong succeeded in building a common church of their own between the two villages, at the place called “Unab”, later the center of trade and social life of the people.

Dalaguete was officially acknowledged as a municipality, together with all other existing municipalities by then, through Act No. 82 or the Municipal Code of 1904.

The name Dalaguete is derived from the name of a tree called locally as “dalakit” or baliti tree, which then grew and flourished abundantly at Unab. Part of the legend goes that when the Spaniards first came to the place, a woman in the locality was asked for the name of the place. She answered “dalakit” believing that the white man was asking for the name of the tree. Not being able to hear distinctly the word “dalakit,” the inquiring Spaniards wrote “Dalaguete.”

Dalaguete is located 84 kilometers south of Cebu City. It is bounded on the north by the municipality of Argao, on the south by the municipality of Alcoy, on the west by the municipalities of Badian and Alegria and on the east by Bohol Strait.

The land area is 15,496 hectares and is composed of 33 barangays. Ten are coastal barangays namely: Casay, Cawayan, Banhigan, Manangal, Coro, Tapon, Poblacion, Balud, Consolacion and Obong. Twenty- three barangays are in the upland portion namely: Jolomaynon, Caliongan, Sacsac, Obo, Mantalongon, Tabon, Langkas, Caleriohan, Dugyan, Catolohan, Nalhub, Ablayan Manlapay, Maloray, Salug, Dumalan, Babayongan, Bulak, Pañas, Tuba, Lumbang, Lanao and Malones.

From 4th class municipality, the town was re-classified to 3rd class in 2002, 2nd class in 2005 and 1st class in 2008.

Dubbed as the “Vegetable Basket of Central Visayas,” it supplies an average of 60 tons of vegetable per day to the neighboring cities and islands. Due to its Baguio-like climate, Barangay Mantalongon, one of the upland barangays of this municipality, is considered as the “Summer Capital of Cebu.”

Note 2 – Basis of Financial Statements Presentation

The consolidated financial statements of the LGU have been prepared in accordance with and comply with the International Public Sector Accounting Standards (IPSAS). The consolidated financial statements are presented in pesos, which is the functional and

reporting currency of the LGU. The accounting policies have been applied starting the year 2015.

Note 3 - Summary of significant accounting policies

3.1 Basis of Accounting

The consolidated financial statements are prepared on an accrual basis in accordance with IPSAS.

3.2 Consolidation

The LGU maintains special accounts under the General Fund as follows: General Fund Proper, Markets, Slaughterhouse 5% Disaster Risk Reduction Management Fund and 20% Economic Development Fund.

3.3 Revenue Recognition

Revenue from non-exchange transactions

Taxes, Fees and Fines

The LGU recognizes revenues from taxes and fines when the event occurs and the asset recognition criteria are met. To the extent that there is a related condition attached that would give rise to a liability to repay the amount, liability is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefit or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

Transfer from other government entities

Revenues from non-exchange transactions with other government entities are measured at fair value and recognized on obtaining control of the asset (cash, goods, services and property) if the transfer is free from conditions and it is probable that the economic benefits or service potential related to the asset will flow to the LGU and can be measured reliably.

The LGU availed of the 5 – year transitional provision for the recognition of Tax Revenue – Real Property and Special Education Tax. For the first year, there will be no change in policy for the recognition of the aforementioned tax revenue.

Revenue from exchange transactions

Rendering of services

The LGU recognizes revenue from rendering of services by reference to the stage of completion when the outcome of the transaction can be estimated reliably. The stage of

completion is measured by reference to labor hours incurred to date as a percentage of total estimated labor hours.

3.4 Property, Plant and Equipment

All property, plant and equipment are stated at cost less accumulated depreciation. Cost includes expenditure that is directly attributable to the acquisition cost of the items. When significant parts of property, plant and equipment are required to be replaced at intervals, the LGU recognizes such parts as individual assets with specific useful lives and depreciates them accordingly. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in surplus or deficit as incurred. Where an asset is acquired in a non-exchange transaction for nil or nominal consideration the asset is initially measured at its fair value.

Depreciation on assets is charged on a straight-line basis over the useful life of the asset.

Depreciation is charged at rates calculated to allocate cost or valuation of the assets less any estimated residual value over its remaining useful life per COA Circular 2003-007 dated December 11, 2003.

Public Infrastructures were not previously recognized in the books. The LGU availed of the 5 – year transitional provision for the recognition of the Public Infrastructure. For the first year of implementation of the IPSAS, the LGU will not recognize the Public Infrastructure in the books of accounts.

3.5 Financial Instruments

Financial Liabilities

Initial recognition and measurement

Financial liabilities within the scope of IPSAS 29 are classified as financial liabilities at fair value through surplus or deficit or loans and borrowings, as appropriate. The LGU determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings.

The LGU's financial liabilities include other payables, loans and borrowings.

Subsequent measurement

The measurement of financial liabilities depends on their classification.

Loans and borrowings

After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the effective interest method. Gains and losses are recognized in surplus or deficit when the liabilities are derecognized as well as through the effective interest method amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the effective interest rate.

3.6 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash in bank, deposits on call and highly liquid investments with an original maturity of three months or less, which are readily convertible to known amounts of cash and are subject to insignificant risk of changes in value. For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash and shorter deposits as defined above, net of outstanding bank overdrafts.

3.7 Inventories

Inventory is measured at cost upon initial recognition. To the extent that inventory was received through non-exchange transactions (for no cost or for a nominal cost), the cost of the inventory is its fair value at the date of acquisition.

3.8 Related Parties

The LGU regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise influence over the LGU, or vice versa. Members of key management are regarded as related parties and comprise the Mayor, Vice-Mayor, Sanggunian Bayan Members, Committee Officials and Members, Accountant, Treasurer, Budget Officer, General Services and all Chiefs of Departments/Divisions.

3.9 Budget information

The annual budget is prepared on the modified cash basis, that is, all planned costs and income are presented in a single statement to determine the needs of the LGU. As a result of the adoption of the Modified cash basis for budgeting purposes, there are basis, timing or entity differences that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reason for overall growth or decline in the budget are stated, followed by details of overspending or underspending on line items.

3.10 Significant judgments and sources of estimation uncertainty

Judgments

In the process of applying the LGU's accounting policies, management has made judgments which have the most significant effect on the amounts recognized in the consolidated financial statements.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The LGU based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. However, existing circumstances and assumptions about future developments may change due to market changes or circumstances arising beyond the control of the LGU. Such changes are reflected in the assumptions when they occur.

Useful lives and residual values

The useful lives and residual values of assets are assessed using the following indicators to inform potential future use and value from disposal:

- a) The condition of the asset based on the assessment of experts employed by the LGU;
- b) The nature of the asset, its susceptibility and adaptability to changes in technology and processes;
- c) The nature of the processes in which the asset is deployed; and
- d) Changes in the market in relation to asset.

3.11 Financial instruments – financial risk management

Exposure to currency, commodity, interest rate, liquidity and credit risks arises in the normal course of the LGU's operations. This note presents information about the LGU's exposure to each of the mentioned risks, policies and processes for measuring and managing risk, and the LGU's management of capital. Further quantitative disclosures are included throughout these financial statements. Fair values set out below, is a comparison by class of the carrying amounts and fair value of the LGU's financial instruments.

The fair value of the financial assets and liabilities are included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced sale or liquidation.

Credit risk

Credit risk is the risk of financial loss to the LGU if customers or counterparties to financial instruments fail to meet their contractual obligations, and it arises principally from the LGU's investments, loans, receivables, and cash and cash equivalents. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk as at December 31 was:

	2022	2021
Trade receivables and other receivables	₱39,165,185.52	₱36,517,354.68
Cash and cash equivalent	334,158,286.52	217,922,476.29
Maximum exposure to credit risk	₱373,323,472.04	₱254,439,830.97

Note 4 – Cash and cash equivalents

	2022	2021
Cash on Hand		
Cash-Local Treasury	₱1,716,849.08	₱7,887,289.34
Petty Cash Fund	0.00	106,258.95
Cash in Bank-Local Currency, Current Account	332,441,437.44	209,928,928.00
Total Cash and Cash Equivalent	₱334,158,286.52	₱217,922,476.29

Note 5 - Receivables

5-1 – Loans and Receivable Accounts

	2022	2021
Accounts Receivable	₱11,274.50	₱11,274.50
Real Property Tax Receivable	7,720,499.06	5,475,105.03
Special Education Tax Receivable	7,720,499.06	5,475,105.03
Loans Receivable – Others	96,382.16	96,382.16
Total	₱15,548,654.78	₱11,057,866.72

5-2 – Inter-Agency Receivables

	2022	2021
Due from National Government Agencies	₱78,345.10	₱78,345.10
Due from Government Owned and Controlled Corporations	311,661.75	311,661.75
Due from Local Government Units	7,807.56	7,807.56
Total	₱397,814.41	₱397,814.41

5-3 – Intra-Agency Receivables

	2022	2021
Due from Other Funds	₱7,611,502.80	₱4,839,815.43
Due from Special Accounts	12,427,882.70	16,197,210.41
Total	₱20,039,385.50	₱21,037,025.84

5-4 – Advances

	2022	2021
Advances for Payroll	₱233,972.33	₱959,620.01
Advances to Officers and Employees	1,820,266.48	1,868,248.98
Total	₱2,054,238.81	₱2,827,868.99

5-5 – Other Receivables

	2022	2021
Receivables – Disallowances/charges	₱1,195.94	₱1,195.94
Due from Officers and employees	11,271.00	24,183.31
Due from Non-Government Organizations/ People's Organizations	817,835.22	876,168.47
Other Receivables	294,789.86	295,231.00
Total	₱1,125,092.02	₱1,196,778.72

Reduction in receivables is due to liquidations made of the concern officials and employees of their cash advances made.

Note 6 - Inventories

6-1 – Inventory Held for Distribution

	2022	2021
Agricultural Produce for Distribution	₱102,100.00	₱102,100.00
Welfare Goods for Distribution	578,259.35	578,259.35
Total	₱680,359.35	₱680,359.35

6-2 – Inventory Held for Consumption

	2022	2021
Office Supplies Inventory	₱223,628.65	₱231,148.32
Accountable Forms, Plates	307,020.70	713,336.52
Animal/Zoological Supplies Inventory	173,926.00	86,826.00

	2022	2021
Drugs and Medicine Inventory	3,492,280.42	631,679.07
Medical, Dental and Laboratory Supplies Inventory	2,776,775.76	528,901.76
Fuel, Oil and Lubricants Inventory	2,362,089.85	3,557,007.37
Agricultural and Marine Supplies Inventory	115,119.75	62,890.00
Other Supplies and Materials Inventory	8,335,977.70	428,138.11
Construction Materials Inventory	15,198,704.21	10,967,420.30
Total	₱32,985,523.04	₱17,207,347.45

Note 7 - Prepayments and Deferred Charges

	2022	2021
Prepayments		
Prepaid Insurance	₱1,549,041.43	₱1,415,259.95
Deferred Charges		
Discount on Advance Payments	<u>1,571,473.96</u>	<u>1,180,854.59</u>
Total	<u>₱3,120,515.39</u>	<u>₱2,596,114.54</u>

Note 8 - Property, Plant and Equipment (see separate sheet)

The LGU computed the depreciation expense based on a straight-line method acquisition costs less 10% salvage value over the estimated useful life of the assets from 5 to 30 years and is recorded on a monthly basis.

Note 9 - Biological Assets

	2022	2021
Breeding Stocks	₱300,000.00	₱300,000.00
Total	₱300,000.00	₱300,000.00

This represents the cost of 4 (four) dairy cows purchased for dairy program of the municipality wherein one of which was already dead and was not reflected in the books.

Note 10 - Intangible Assets

	2022	2021
Computer Software	₱185,000.00	₱185,000.00
Accumulated Amortization	(102,333.49)	(35,333.41)
Net Book Value	₱82,666.51	₱149,666.59

Note 11 - Liabilities

11-1 – Liabilities-Current

	2022	2021
Financial Liabilities		
Accounts Payable	₱37,455,906.60	₱20,671,958.61
Due to Officers and employees	2,664,065.18	2,164,419.34
Interest Payable	1,297,614.25	1,855,785.90
Leave Benefit Payable	340,440.42	5,933.95
Loans Payable-Domestic-Current Portion	7,036,612.22	7,036,612.22
Total	₱48,794,638.67	₱31,734,710.02

11-2 – Inter-Agency Payables

	2022	2021
Due to BIR	₱1,210,641.12	₱440,199.03
Due to GSIS	471,738.30	460,612.72
Due to Pag-IBIG	22,323.67	96,354.15
Due to PhilHealth	30,453.73	128,646.91
Due to NGAs	30,702,707.78	30,886,434.98
Due to GOCCs	3,513.32	3,513.32
Due to LGUs	27,770,502.62	18,532,387.69
Total	₱60,211,880.54	₱50,548,148.80

Due to BIR account represents amount withheld from employees and suppliers. Due to GSIS, Due to Pag-IBIG and Due to Philhealth accounts represents the amount deducted from the salaries of officials and employees and is remitted to the respective government agencies immediately on the month following the month for which these were deducted. While the remaining accounts represents balances of funds received by the LGU for specific purposes.

Due to NGAs is composed of the following;

Concreting of Barangay Road at Sitio Alang-alang, Mantalongon, Dalaguete, Cebu in the amount of ₱9,049.49 represent the remaining balance of the funds received per MOA-013-001 from the Department of Public Works and Highways (DPWH) dated May 22, 2013 and liquidation was made last September 10, 2013.

The amount of ₱7,229.97 share from building permit fees received by the Municipality from the Bureau of Treasury.

The amount of ₱1,000,000.00 was received by the municipality from the Department of Agriculture for GMA– CARES.

The amount of ₱153,450.00 as Maintenance and Protection Activities of PO from the Department of Environment and Natural Resources.

The total amount of ₱600,000.00 represents PDAF from Cong. Garcia for Mantalongon National High School amounting ₱100,000.00 and PDAF from Cong. Garcia for construction of Dalaguete National High School building projects amounting to ₱500,000.00.

₱347,059.00 is the remaining balance of the funds received for food assistance to all indigent constituents per SARO#BMB-G-13-T dated February 15, 2013 amounting to ₱1,600,000.00

₱582,400.00 is the remaining balance of the funds received for CIDSS per SARO#G-13-00882 dated March 22, 2013 amounting to ₱1,000,000.00 and RUDIFP amounting to ₱15,000.00.

The LGU is also a recipient of the following funds from the different national agencies in the Trust Fund as follows:

Department of Agriculture:

Construction of Trading Post	₱3,788.53
Construction and Mechanization of Organic Fertilizer Production Facility	462,058.00
Irrigation Project in Sitio Libo, Catolohan (BUB Project)	750,000.00
Construction of Vegetable Trading Post (BUB 2015)	<u>80,881.57</u>
Total	<u>₱1,296,728.10</u>

Department of Health

Municipal Health Leadership and Governance Program (MHLGP)	₱28,848.45
Communicable Diseases	182.80
Construction of RHU 11 (Mantalongon)	7,073.14
Completion/Repair/Renovation/Rehabilitation/Relocation of Cawayan BHS	16,293.67
TB DOTS services and augment operational/financial Support (RHU II)	200,000.00
Total	<u>₱252,398.06</u>

Department of Interior and Local Government

Performance Challenge Fund	₱1,961.69
Construction of Multi-Purpose Building at Barangay Mantalongon (LGSF-Other Financial Assistance to LGU	5,000,000.00

Food Assistance (Purchase of Rice) to Indigent Individuals or Group (LGSF-Other Financial Assistance to LGUs, FY 2021)	500,000.00
Installation of Street Lights for Barangays Jolomaynon, Caliongan, Nalhub, Langkas And Ablayan (LGSF-FA)	10,000,000.00
Purchase of Medical Equipment (LGSF-Other Financial Assistance to LGUs, FY 2021)	10,000.00
Rehabilitation of Municipal Road	10,000,000.00
Total	₱25,511,961.69

Department of Environment and Natural Resources PENRO Cebu

Giant clam enhancement project	₱1,399.05
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Bureau of Fisheries and Aquatic Resources

Construction of Fish Port	₱537,776.03
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This was implemented partially.

National Nutrition Council

Fund for the Early Childhood Care and Development In the First 1000 days Program (ECCD F1K)	₱283,692.94
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Bureau of Fire Protection

Share for the Collection (Years 2010-2013)	₱22,699.60
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Others

Construction of National Child Development Center	₱81,863.85
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This fund has been implemented and subject for verification and liquidation with the unit auditor.

11-3 – Intra-Agency Payable

	2022	2021
Due to Other Funds	₱7,385,107.62	₱4,572,045.28
Due to Special Accounts	12,427,882.70	16,197,210.41
Total	₱19,812,990.32	₱20,769,255.69

11-4 – Trust Liabilities

	2022	2021
Trust Liabilities	₱5,943,454.48	₱10,137,371.01
Trust Liabilities – Disaster Risk Reduction and Management Fund	14,906,545.94	13,139,963.24
Bail Bonds Payable	37,920.00	37,920.00
Guaranty/Security Deposits Payable	2,521,240.86	1,631,523.33
Total	₱23,409,161.28	₱24,946,777.58

Trust Liabilities includes funds received from Philhealth Capitation Fund, DOTS Claim and Maternity Care and Newborn Care Package. Bail Bonds Payable represents receipt of cash bond from a person who is in the custody of the law to guaranty his appearance in court for 2005 and below.

Trust Liabilities – Disaster Risk Reduction Management Fund represents the amount set aside by the LGU to support its disaster risk management activities pursuant to R.A. 10121, otherwise known as the “Philippine Disaster Risk Reduction and Management Act of 2010”.

Particulars	Available	Amount Utilized	Balance
Current Year Appropriation			
Quick Response Fund (QRF)	₱4,950,904.03	₱1,326,599.19	₱3,624,304.84
Mitigation Fund (MF)	11,552,109.40	10,536,202.13	1,015,907.27
Total	₱16,503,013.43	₱11,862,801.32	₱4,640,212.11
Continuing Appropriation			
CY 2021MF	₱1,903,549.04	-	₱1,903,549.04
CY 2021QRF	1,801,828.54	-	1,801,828.54
CY 2020MF	1,589,457.66	-	1,589,457.66
CY 2020QRF	1,477,182.08	-	1,477,182.08
CY 2019MF	1,171,000.00	-	1,171,000.00
CY 2019QRF	3,077,073.15	-	3,077,073.15
CY 2018MF	1,800,000.00	-	1,800,000.00
CY 2018QRF	2,829,538.57	₱2,412,295.21	417,243.36
CY 2017MF	1,002,000.00	-	1,002,000.00
CY2017QRF	393,683.72	393,683.72	-
Total	₱17,045,312.76	₱2,805,978.93	₱14,239,333.83
Total	₱33,548,326.19	₱14,668,780.25	₱18,879,545.94

Note: The difference against the ending balance is due to unrecorded Continuing Appropriation from prior years amounting to P3,973,000.00.

11-5 – Deferred Credits/Unearned Income

	2022	2021
Deferred Real Property Tax	₱7,720,499.06	₱2,567,579.88
Deferred Special Education Tax	7,720,499.06	2,536,630.48
Unearned Revenue-Investment Property	1,387,897.50	1,387,897.50
Other Deferred Credits	0.00	5,916,426.86
Total	₱16,828,895.62	₱12,408,534.72

11-6 – Other Payables

	2022	2021
Other Payables	₱3,226,781.72	₱4,682,153.83

This represents various funds received for specific purpose and some are deductions from employees for remittance and is subject for adjustment in the succeeding year due to oversight.

Note 12 - Liabilities -Non-Current

12-1 – Financial Liabilities

	2022	2021
Interest Payable	₱2,167,740.08	₱2,907,182.68
Loans Payable-Domestic Non-Current Portion	30,288,631.90	37,325,244.12
Total	₱32,456,371.98	₱40,232,426.80

Interest Payable represents interest of the remaining balance of the loan availed by the municipality.

Loans Payable Domestic - Non – Current Portion account represents the balances of the following projects:

- a. For Construction of Two-Storey Caleriohan Public Market

The term loan obtained by the Municipal Government of Dalaguete with the principal balance of ₱305,555.48 only with an interest of 7% per annum subject to quarterly re pricing for a period of 10 years payable at 36 equal quarterly amortization to start at the end of the 5th quarter from April 22, 2013 date of initial release of the principal amount while the interest is payable quarterly in arrears to start at the end of the 1st quarter from date of initial release. This loan was granted last April 22, 2013. The four tranches of

release for this loan were consolidated into one promissory note bearing PN# 9052-LT14-0003-001 dated January 22, 2014 and the interest rate is still subject to re pricing as agreed.

b. For acquisition of Brand-New Excavator

Loan was availed by the Municipal Government of Dalaguete with the principal amount of ₱4,857,247.00 only with an interest rate of 3% per annum. Interest shall be paid semi-annually every 15th day of June and 15th day of December of each year until fully paid so with the principal payments. This loan was granted on November 21, 2016.

c. For Vehicle re fleetings (GL Grandia and Mitsubishi L300)

Term loan availed by the Municipal Government of Dalaguete with the principal balance of ₱272,732.11 only with an interest rate of 6.5% subject to quarterly re pricing for a period of 7 years. Principal payment is good for 28 quarterly amortization to start at the end of the 1st quarter from the date of initial release. Interest is payable quarterly in arrears to start at the end of the 1st quarter from date of initial release. This loan was granted on August 4, 2016. Initial principal payment started on November 4, 2016

d. For Vehicle re fleetings (Isuzu Crosswind XT)

Term loan availed by the Municipal Government of Dalaguete with the principal balance of ₱111,375.15 only with an interest rate of 6.5% subject to quarterly re pricing for a period of 7 years. Principal payment is good for 28 quarterly amortization to start at the end of the 1st quarter from date of initial release. Interest is payable in arrears to start at the end of the 1st quarter from date of initial release. This loan was granted on September 5, 2016. Initial payment started on November 4, 2016.

e. For Acquisition of three (3) units Dumptrucks, one (1) unit Firetruck and one (1) unit Garbage Compactor

Loans obtained from Municipal Development Office (MDFO) amounting to ₱30,778,334.38 under Disaster Management Assistance Fund (DMAF), Sub Project Loan Agreement between the MDFO and the Municipality of Dalaguete payable over ten (10) years including two (2) years grace period with equal payments of interest and principal. Interest rate is payable semi-annually every 15th of June and 15th of December of each year at the rate of 3% per annum, inclusive of one percent (1%) administrative fee calculated semi-annually on the outstanding balance of the loan at the beginning of the first semester. The interest rate is fixed for the whole period of loan.

Office of the President-Social Fund amounting to ₱1,000,000.00 only and is non-interest bearing.

12-2 – Deferred Credits/Unearned Income

	2022	2021
Deferred Real Property Tax	₱0.00	₱2,907,525.15
Deferred Special Education Tax	0.00	2,938,474.55
Other Deferred Credits	7,875,559.26	0.00
Total	₱7,875,559.26	₱5,845,999.70

Note 13 - Tax Revenue**13-1 – Tax Revenue – Individual and Corporation**

	2022	2021
Community Tax	₱1,125,432.66	₱1,099,216.20
Tax Revenue – Property		
Real Property Tax – Basic	3,358,931.98	4,578,768.24
Discount on Real Property Tax – Basic	(317,638.67)	(308,302.69)
Special Education Tax	4,183,748.51	5,061,212.31
Discount on Special Education	(397,047.89)	(384,577.19)
Tax Revenue – Goods and Services		
Business Tax	7,332,350.17	7,075,378.37
Tax on Sand, Gravel and Other Quarry Products	2,541,139.20	2,170,101.57
Amusement Tax	25,445.49	0.00
Franchise Tax	0.00	4,993.75
Tax Revenue – Fines and Penalties		
Tax Revenue – Fines and Penalties – Property Taxes	1,069,529.74	763,737.07
Tax Revenue – Fines and Penalties – Taxes on Goods and Services	142,047.67	154,502.89
Total	₱19,063,938.86	₱20,215,030.52

13-2 – Share from National Taxes

	2022	2021
Share from Internal Revenue Collections (IRA)	₱285,800,022.00	₱203,656,322.00
Share from National Wealth	55,048.77	129,897.96
Total	₱285,855,070.77	₱203,786,219.96

13-3 – Service and Business Income

	2022	2021
Service Income		
Permit Fees	₱4,167,622.24	₱3,594,024.81
Registration Fees	296,112.00	275,116.00
Clearance and Certification Fees	3,041,041.52	2,677,115.00
Inspection Fees	306,720.00	307,425.00
Fees for Sealing and Licensing of Weight and Measures	61,100.00	46,400.00
Fines and Penalties – Service Income	195,917.07	354,343.78
Other Service Income	1,349,548.68	1,405,780.84
Business Income		
Rent Income	2,747,896.60	1,647,877.00
Receipt from Market Operations	10,781,377.52	10,339,270.19
Receipt from Slaughterhouse Operation	1,723,900.00	1,400,830.00
Garbage Fees	900,400.00	857,000.00
Interest Income	93,698.38	80,789.59
Fines and Penalties – Business Income	35,366.37	25,362.63
Other Business Income	3,967,862.76	6,158,210.74
Total	₱29,668,563.14	₱29,169,545.58

13-4 – Shares, Grants and Donations

	2022	2021
Share		
Share from PCSO	₱482,709.83	₱102,717.57
Grants and Donations		
Grants and Donations in Kind	0.00	34,990.00
Total	₱482,709.83	₱137,707.57

13-5 – Miscellaneous Income

	2022	2021
Miscellaneous Income	₱1,852,138.50	₱145,981.51

13-6 – Transfers, Assistance and Subsidy Assistance and Subsidy

	2022	2021
Subsidy from National Government	₱712,336.94	₱537,199.60
Subsidy from Local Government Units	538,487.67	1,512,543.21
Total	₱1,250,824.61	₱2,049,742.81

Note 14 - Employee Costs

14-1 – Personnel Services

	2022	2021
Salaries and Wages – Regular	₱32,530,612.50	₱32,710,089.12
Salaries and Wages – Casual/Contractual	14,967,752.32	13,192,452.00
Other Compensation		
Personnel Economic Relief Allowance	3,638,181.85	3,718,181.85
Representation Allowance (RA)	1,879,875.00	1,886,625.00
Transportation Allowance (TA)	1,879,875.00	1,886,625.00
Clothing/Uniform Allowance	876,000.00	948,000.00
Subsistence, Allowance	419,454.58	406,227.31
Laundry Allowance	41,945.42	40,622.69
Honoraria	14,400.00	0.00
Hazard Pay	1,545,934.50	1,317,651.32
Longevity Pay	100,000.00	75,000.00
Overtime and Night Pay	287,300.69	219,933.52
Year End Bonus	8,049,393.10	7,701,052.55
Cash Gift	800,500.00	775,750.00
Other Bonuses and Allowances	3,518,351.88	1,592,345.66
Personnel Benefit Contributions		
Retirement and Life Insurance Premiums	5,699,873.16	5,508,618.87
Pag-IBIG Contributions	182,800.00	186,000.00
PhilHealth Contributions	923,635.74	603,659.96
Employees Compensation Insurance Premiums	182,700.00	186,000.00
Other Personnel Benefits		
Terminal Leave Benefits	2,419,306.80	1,811,724.22
Other Personnel Benefits	3,852,471.93	2,279,400.00
Total	₱83,810,364.47	₱77,045,959.07

14-2 – Maintenance and Other Operating Expenses

	2022	2021
Traveling Expenses		
Traveling Expenses – Local	₱1,122,284.34	₱870,170.76
Training and Scholarship Expenses		
Training Expenses	2,295,999.00	745,050.00
Scholarship Grants/Expenses	3,283,602.52	2,694,300.00
Supplies and Materials Expenses		
Office Supplies Expenses	1,704,025.52	1,503,936.12
Accountable Forms Expenses	969,441.17	-

	2022	2021
Animal/Zoological Supplies Expenses	12,900.00	48,820.00
Food Supplies Expenses	-	-
Welfare Goods Expenses	-	1,870,381.55
Drugs and Medicines Expenses	35,334.00	4,804,883.58
Medical, Dental and Laboratory Supplies Expenses	675,184.25	1,544,255.24
Fuel, Oil and Lubricants Expenses	10,881,721.32	4,949,680.92
Agricultural and Marine Supplies Expenses	123,010.00	96,030.00
Other Supplies and Materials Expenses	5,138,375.17	2,141,546.65
Utility Expenses		
Water Expenses	785,371.17	829,711.93
Electricity Expenses	7,989,759.55	6,645,917.21
Communication Expenses		
Postage and Courier Services	1,219.00	365.00
Telephone Expenses	591,551.86	509,530.82
Internet Subscription Expenses	289,645.99	636,514.78
Cable, Satellite, Telegraph and Radio Expenses	64,490.00	-
Awards/Rewards and Prizes		
Awards/Rewards Expenses	-	6,000.00
Prizes	404,050.00	127,745.00
Demolition/Relocation and Desilting/Dredging Expenses		
Desilting and Dredging Expenses	147,415.62	-
Confidential, Intelligence and Extraordinary Expenses		
Extraordinary and Miscellaneous Expenses	-	8,060.00
Professional Services		
Legal Services	985.00	-
Auditing Services	47,187.00	-
Other Professional Services	541,454.56	696,363.64
General Services		
Other General Services	7,763,055.83	7,682,367.97
Repairs and Maintenance		
Repairs and Maintenance - Infrastructure Assets	218,025.00	224,608.50
Repairs and Maintenance - Buildings and Other Structures	5,957,638.23	376,812.00
Repairs and Maintenance - Machinery and Equipment	812,337.48	772,303.43

	2022	2021
Repairs and Maintenance - Transportation Equipment	3,492,097.50	3,537,224.88
Repairs and Maintenance - Furniture and Fixtures	-	39,500.00
Repairs and Maintenance - Other Property, Plant and Equipment	85,695.00	208,154.00
Taxes, Insurance Premiums and Other Fees		
Taxes, Duties and Licenses	126,198.97	130,227.44
Fidelity Bond Premiums	64,125.00	72,600.00
Insurance Expenses	1,472,885.30	1,309,790.18
Other Maintenance and Operating Expenses		
Representation Expenses	150,579.51	137,858.00
Transportation and Delivery Expenses	-	9,540.00
Rent Expenses	12,000.00	-
Membership Dues and Contributions to Organizations	180,400.00	127,100.00
Donations	1,463,465.00	4,897,103.40
Other Maintenance and Operating Expenses	42,955,346.42	31,189,984.19
Total	₱101,858,856.28	₱81,444,437.19

14-3 – Non-Cash Expenses

	2022	2021
<i>Depreciation and Amortization</i>		
Depreciation – Land Improvements	₱7,906.08	₱7,906.08
Depreciation – Infrastructure Assets	8,183,934.55	6,820,372.56
Depreciation – Building and Other Structures	9,987,101.24	6,807,998.98
Depreciation – Machinery and Equipment	8,329,980.37	7,545,911.81
Depreciation – Transportation Equipment	7,614,384.16	7,806,732.72
Depreciation – Furniture, Fixtures & Books	124,663.91	162,556.91
Depreciation – Other Property, Plant and Equipment	407,517.05	564,820.38
Amortization-Intangible Assets	67,000.08	18,333.37
Impairment Loss – Inventories	-	119,708.00
Total	₱34,722,487.44	₱29,854,340.81

14-4 – Financial Assistance/Subsidy TO

	2022	2021
Subsidy to Other Local Government Units	₱1,061,076.70	₱0.00
Subsidies-Others	212,654.00	1,264,340.00
Total	₱ 1,273,730.70	₱1,264,340.00

14-5 – Transfers TO

	2022	2021
Transfers of Unspent Current Year DRRM Funds to the Trust Fund	₱4,640,212.11	₱3,705,377.58
Total	₱4,640,212.11	₱3,705,377.58

Note 15 - Reconciliation of Net Cash Flows from Operating Activities to Surplus/(Deficit)

	2022	2021
Surplus/(Deficit)	₱111,867,594.71	₱62,189,773.30
Non-cash Transactions		
Depreciation	34,651,344.79	29,716,299.44
Amortization of intangible assets	67,000.08	18,333.37
(Increase)/Decrease in Payables/Current Liabilities	(27,194,767.06)	25,031,067.86
Increase in Current Assets	135,186,217.51	92,920,197.49
Adjustments/Others	(110,596,104.00)	(122,354,855.71)
Net Cash from Operating Activities	₱143,981,286.03	₱87,520,815.75

From Note 4-1.5 - Property, Plant and Equipment

Property, Plant & Equipment	January 1, 2021	Additions	Transfers/ Adjustments	December 31, 2021	Additions	Transfers/ Adjustments	December 31, 2022
Land	-			-			-
Land	21,868,561.69	-	-	21,868,561.69	314,398.00	-	22,182,959.69
Land Improvements							
Other Land Improvements	1,709,097.35	-	-	1,709,097.35	-	-	1,709,097.35
Infrastructure Projects							
Road Networks	50,693,714.98	21,074,457.72	-	71,768,172.70	2,734,341.67	-	74,502,514.37
Flood Control Systems	5,574,862.07	2,657,919.25	-	8,232,781.32	711,596.26		8,944,377.58
Water Supply Systems	2,962,843.67	-	-	2,962,843.67	628,027.60	-	3,590,871.27
Seaport System	1,999,150.64	-	-	1,999,150.64	-	-	1,999,150.64
Parks, Plaza & Monuments	427,481.80	3,024,688.30	-	3,452,170.10	-	-	3,452,170.10
Other Infrastructure Assets	3,658,538.92	-	-	3,658,538.92	2,275,929.75	-	5,934,468.67
Building and Other Structures							
Buildings	14,759,149.74	16,533,210.78	-	31,292,360.52	34,651,650.32	-	65,944,010.84
School Buildings	54,327,974.14	1,899,984.31	-	56,227,958.45	-	(255,177.20)	55,972,781.25
Hospitals & Health Centers	14,972,545.97	17,765,219.44	-	32,737,765.41	2,848,546.97	(110,602.79)	35,475,709.59
Markets	78,419,961.94	5,955,074.31	-	84,375,036.25	-	-	84,375,036.25
Slaughterhouses	840,797.10	-	-	840,797.10	-	-	840,797.10
Other Structures	64,374,487.47	9,533,695.63	-	73,908,183.10	187,028.53	(1,381,604.02)	72,713,607.61
Machinery and Equipment							
Office Equipment	8,190,280.07	599,396.00	-	8,789,676.07	2,753,280.00	(4,150,597.67)	7,392,358.40
Information and Communication Technology Equipment	17,144,662.99	2,311,214.00	-	19,455,876.99	278,000.00	(12,289,233.55)	7,444,643.44
Agriculture and Forestry Equipment	188,675.60	-	-	188,675.60		(115,675.60)	73,000.00
Communication Equipment	7,093,784.29	476,390.00	-	7,570,174.29	283,600.00	(2,915,594.91)	4,938,179.38
Construction and Heavy Equipment	47,716,943.44	-	-	47,716,943.44	-	-	47,716,943.44
Disaster Response and Rescue Equipment	16,164,353.00	1,799,500.00	-	17,963,853.00	99,000.00	(67,000.00)	17,995,853.00
Military, police and Security Equipment	680,155.00	-	-	680,155.00	-	(680,155.00)	-
Medical Equipment	6,820,145.50	-	-	6,820,145.50	4,546,350.00	(906,286.50)	10,460,209.00
Sports Equipment	518,677.44	-	-	518,677.44	-	(256,964.00)	261,713.44
Technical and Scientific Equipment	366,079.61	-	-	366,079.61	-	-	366,079.61
Other Machinery and Equipment	4,174,343.40	1,288,149.00		5,462,492.40	553,000.00	(1,040,208.23)	4,975,284.17
Transportation Equipment							
Motor Vehicles	73,540,692.29		(3,701,000.00)	69,839,692.29	8,980,000.00	(403,047.56)	78,416,644.73
Watercrafts	352,911.43	-	-	352,911.43	-	-	352,911.43

Property, Plant & Equipment	January 1, 2021	Additions	Transfers/ Adjustments	December 31, 2021	Additions	Transfers/ Adjustments	December 31, 2022
<i>Furniture, Fixtures and Books</i>							
Furniture and Fixtures	4,059,419.68	88,770.00	-	4,148,189.68	-	(2,807,505.02)	1,340,684.66
Books	225,618.80	-	-	225,618.80	-	(33,965.00)	191,653.80
<i>Construction in Progress</i>							
Construction in Progress-Land Improvements	171,189.01	507,367.48	-	678,556.49	763,939.39	-	1,442,495.88
Construction in Progress-Infrastructure Projects	43,656,432.50	-	(9,724,042.49)	33,932,390.01	19,452,462.85	(14,728,059.96)	38,656,792.90
Construction in Progress-Buildings & other Structures	115,779,432.19	-	(41,454,951.95)	74,324,480.24	18,857,139.79	(8,164,299.50)	85,017,320.53
Construction in Progress-Leased Assets	3,940.48	-	-	3,940.48	-	-	3,940.48
<i>Other Property, Plant & Equipment</i>							
Other Property, Plant & Equipment	14,341,692.57	305,696.50	-	14,647,389.07	-	-	14,647,389.07
TOTAL	677,778,596.77	85,820,732.72	(54,879,994.44)	708,719,335.05	100,918,291.13	(50,305,976.51)	759,331,649.67

Depreciation and Impairment

Property, Plant & Equipment	Depreciation	31-Dec-21 Accum. Deprn.	Net Book Value	Depreciation	Impairment	31-Dec-22 Accum. Deprn.	Net Book Value
<i>Land</i>							
Land	-	-	21,868,561.69	-	-	-	22,182,959.69
<i>Land Improvements</i>							
Other Land Improvements	7,906.08	1,294,685.29	414,412.06	7,906.08	-	1,302,591.37	406,505.98
<i>Infrastructure Projects</i>							
Road Networks	5,347,928.63	10,766,076.65	61,002,096.05	6,474,845.19	-	17,240,921.84	57,261,592.53
Flood Control Systems	601,409.59	1,061,335.76	7,171,445.56	746,287.30	-	1,807,623.06	7,136,754.52
Water Supply Systems	266,655.96	488,869.26	2,473,974.41	271,366.17	-	760,235.43	2,830,635.84
Seaport System	179,923.56	329,859.86	1,669,290.78	179,923.56	-	509,783.42	1,489,367.22
Parks, Plaza & Monuments	95,186.22	127,247.32	3,324,922.78	165,174.24	-	292,421.56	3,159,748.54
Other Infrastructure Assets	329,268.60	603,659.10	3,054,879.82	346,338.09	-	949,997.19	4,984,471.48
<i>Building and Other Structures</i>							
Buildings	546,703.26	7,384,073.70	23,908,286.82	2,179,238.16	-	9,563,311.86	56,380,698.98
School Buildings	974,928.12	14,055,419.15	42,172,539.30	909,543.20	-	14,964,962.35	41,007,818.90
Hospitals & Health Centers	606,067.70	6,472,229.35	26,265,536.06	1,307,617.56	-	7,779,846.91	27,695,862.68
Markets	1,345,331.44	21,502,101.26	62,872,934.99	1,583,041.69	-	23,085,142.95	61,289,893.30
Slaughterhouses	7,696.84	637,957.15	202,839.95	7,589.77	-	645,546.92	195,250.18
Other Structures	3,327,271.62	23,775,072.12	50,133,110.98	2,751,505.64	-	26,526,577.76	46,187,029.85
<i>Machinery and Equipment</i>							
Office Equipment	392,726.94	4,175,900.89	4,613,775.18	(2,309,586.32)	-	1,866,314.57	5,526,043.83

Property, Plant & Equipment	Depreciation	31-Dec-21	Net Book	Depreciation	Impairment	31-Dec-22	Net Book
		Accum. Deprn.	Value			Accum. Deprn.	Value
Information and Communication Technology Equipment	1,122,030.05	12,398,240.60	7,057,636.39	1,218,045.28	8,897,856.22	4,718,429.66	2,726,213.78
Agriculture and Forestry Equipment	8,106.84	122,171.13	66,504.47	6,755.70	62,714.55	66,212.28	6,787.72
Communication Equipment	498,162.99	4,287,669.86	3,282,504.43	431,633.17	2,235,064.06	2,484,238.97	2,453,940.41
Construction and Heavy Equipment	2,022,727.75	27,104,928.88	20,612,014.56	2,018,665.26	-	29,123,594.14	18,593,349.30
Disaster Response and Rescue Equipment	-	5,766,783.49	12,197,069.51	2,992,502.78	79,184.00	8,759,286.27	9,236,566.73
Medical Equipment	348,781.50	2,017,232.28	4,802,913.22	451,963.50	689,051.90	1,780,143.88	8,680,065.12
Sports Equipment	10,098.00	435,894.60	82,782.84	7,768.50	214,427.30	229,235.80	32,477.64
Technical and Scientific Equipment	22,950.00	232,407.18	133,672.43	22,950.00	-	255,357.18	110,722.43
Other Machinery and Equipment	252,952.22	1,381,286.77	4,081,205.63	493,831.13	581,609.11	1,293,508.79	3,681,775.38
Transportation Equipment							-
Motor Vehicles	7,806,732.72	37,114,871.74	32,724,820.55	7,450,765.46	190,427.07	44,565,637.20	33,851,007.53
Watercrafts	-	161,463.54	191,447.89	-	-	161,463.54	191,447.89
Furniture, Fixtures and Books							-
Furniture and Fixtures	162,464.99	2,877,854.70	1,270,334.98	124,663.91	2,249,135.29	753,383.32	587,301.34
Books	91.92	30,094.36	195,524.44	0.27	30,094.63	-	191,653.80
Construction in Progress							-
Land Improvements	-	-	678,556.49	-	-	-	1,442,495.88
Infra Assets	-	-	33,932,390.01	-	-	-	38,656,792.90
Buildings & Other Structures	-	-	74,324,480.24	-	-	-	85,017,320.53
Leased Assets	-	-	3,940.48	-	-	-	3,940.48
Other Property, Plant & Equipment							
Other Property, Plant & Equipment	-	9,077,669.55	5,569,719.52	407,517.05	-	9,485,186.60	5,162,202.47
TOTAL	26,309,753.54	196,171,017.28	512,548,317.77	30,260,302.34	15,729,975.87	210,970,954.82	548,360,694.85

Reconciliation between actual amounts on a comparable basis as presented in this statement and in the Statement of Financial Performance for the Year Ended December 31, 2022					
	Income	Personal Services	Maintenance and Other Operating Expenses	Financial Expenses	Capital Outlay
Comparison Statement of Budget and Actual	-	-	-	-	-
Entity Differences	337,637,107.66	83,810,364.47	106,934,224.72	-	24,404,112.16
Basis Differences:	(714,686.15)		(5,075,368.44)		(24,404,112.16)
Income not considered budgetary items	-	-	-	-	-
Non-cash income	-	-	-	-	-
Gain on Sale of Assets	-	-	-	-	-
Receipts not considered as income	-	-	-	-	-
Sale of capital assets	-	-	-	-	-
Borrowings	-	-	-	-	-
Budgetary items not considered as expenses	-	-	-	-	-
Debt Service (Loan Amortization, Retirement of Debt Instruments)	-	-	-	-	-
Interest Expenses capitalized	-	-	-	-	-
Capital Expenditures	-	-	-	-	-
Timing Differences:	-	-	-	-	-
Prepayments charged to current appropriations					
Unconsumed Inventories charged to current appropriations					
Consumed Inventories and deferred charges charged to prior period appropriations					
Per Statement of Financial Performance	336,922,421.51	83,810,364.47	101,858,856.28	-	-

PART II -AUDIT OBSERVATIONS AND RECOMMENDATIONS

AUDIT OBSERVATIONS AND RECOMMENDATIONS

We commend Management for immediately acting on the audit recommendations we offered in the audit of transactions, accounts and operations of the Municipality of Dalaguete for CY 2022 by taking the following actions:

- a. Reconciled the accounting records for Loans Payable – Domestic account amounting to ₱128,035.72 with that of the lending institution with the preparation of Journal Entry Voucher (JEV) No. 2022-08-008085 dated August 4, 2022. [AOM No. 2023-010 (2022) dated February 8, 2023]
- b. Prepared JEV No. 2022-12-006708 dated December 29, 2022 to revert Accounts Payable aged over two years aggregating ₱0.738 million with no actual claims and documents. [AOM No. 2022-001 (2022) dated December 14, 2022]

However, there were some deficiencies noted in the course of the audit which are yet to be addressed by Management.

FINANCIAL AUDIT

Unreliable Property, Plant and Equipment Balances - ₱634.211 million

- 1. Property, Plant and Equipment (PPE) accounts with total cost of ₱634.211 million are unreliable due to the unreconciled difference between the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records totaling ₱410.123 million contrary to International Public Sector Accounting Standard (IPSAS) No. 1, thus affecting the fair presentation of the PPE accounts in the financial statements.** [AOM No. 2023-017 (2022) dated February 18, 2023]
 - 1.1 Paragraph 27 of IPSAS No. 1 requires that financial statements (FS) shall present fairly the financial position, financial performance, and cash flows of an entity. Fair presentation requires the faithful representation of the effects of transactions, other events, and conditions in accordance with the definitions and recognition criteria for assets, liabilities, revenue, and expenses set out in IPSASs.
 - 1.2 Paragraph 29 of IPSAS No. 1 requires an entity to present information, including accounting policies, in a manner that meets a number of qualitative characteristics such as understandability, relevance, reliability and comparability.
 - 1.3 The existence of audit observations in the prior years which include deficiencies in the conduct of inventory that resulted in incomplete/inadequate RPCPPE, non-maintenance of property cards and PPE ledger cards had always caused an exception in the fairness of the presentation of accounts in the financial statements of the Municipality.

- 1.4 With the issuance of COA Circular No. 2020-006 dated January 31, 2020, all government agencies are guided with procedures on inventory taking, recognition of items found at station and disposition for non-existing/missing items for the conduct of one-time cleansing of PPE accounts to establish PPE balances that are verifiable as to existence, condition and accountability. These guidelines shall be undertaken by the Local Government Units (LGUs) to address the foregoing recurring exceptions by auditors.
- 1.5 Review of the FS of the Municipality disclosed cost of PPE accounts, except the Construction in Progress account, totaling ₱634.211 million as of December 31, 2022.
- 1.6 The Municipality conducted the physical count of PPE in compliance with COA Circular No. 2020-006. Based on the submitted Physical Inventory Plan to the Audit Team, the physical inventory count is to be conducted on December 16, 2022 to January 16, 2023.
- 1.7 Comparison between the PPE accounts as reflected in the FS and the RPCPPE submitted on February 17, 2023 revealed a variance amounting to ₱410.123 million, as shown below:

Account Title	Cost per FS (₱)	Cost per RPCPPE (₱)	Variance (₱)
Land	22,182,959.69	462,251.75	21,720,707.94
Other Land Improvements	1,709,097.35	0.00	1,709,097.35
Infrastructure Assets	98,423,552.63	0.00	98,423,552.63
Buildings and Other Structures	315,321,942.64	13,167,562.79	302,154,379.85
Machinery and Equipment	101,624,263.88	10,931,985.98	90,692,277.90
Transportation Equipment	78,769,556.16	43,116,736.20	35,652,819.96
Furniture, Fixtures and Books	1,532,338.46	539,124.82	993,213.64
Other Property, Plant and Equipment	14,647,389.07	0.00	14,647,389.07
PPEs not properly classified in RPCPPE	0.00	155,870,489.44	(155,870,489.44)
Total	634,211,099.88	224,088,150.98	410,122,948.90

- 1.8 The Physical Inventory Team headed by the General Services Officer (GSO) still failed to physically count several PPEs as reflected on the preceding table. The purpose of inventory-taking is to safeguard the assets of the municipality against losses due to pilferage and other forms of misappropriation, wastage, obsolescence or damage or any unauthorized removal or transfer of assets of the municipality. The RPCPPE shall reflect the total and actual value of the fixed assets owned and will serve as the basis in determining the accountability and/or responsibility of the Local Chief Executive and the GSO/Municipal Treasurer as far as these assets are concerned. This report will enable the auditor or any other official concerned to determine and verify the existence, status, condition and location of the said government properties.
- 1.9 Further, the Municipal Accountant and the Property Officer did not maintain the required PPE ledger cards and property cards, respectively which also precluded the Audit Team to conduct alternative procedures.

- 1.10 Due to above-cited deficiencies, Municipality's assertions on existence, classification, presentation and disclosure are not met, thereby rendering the reported balances of PPE items unreliable.
- 1.11 A related audit finding had been brought to the attention of Management in the Annual Audit Report for CY 2021.
- 1.12 **We reiterated our recommendation and Management agreed to direct the Inventory Committee to fully implement the procedures prescribed in COA Circular 2020-006 dated January 31, 2020 such as the conduct of complete physical count of PPE and submission of the report of count to the Audit Team in order to present the correct balances of the PPE accounts.**
- 1.13 **We also recommended that the General Services Officer maintain property cards for monitoring and reconciliation with the Property Ledger Cards of the Accounting Office.**

Unreliable Road Networks Account - ₱57.262 million

2. **The existence and validity of Road Networks account amounting to ₱57.262 million could not be ascertained due to the absence of the Report of the Local Road Network, Report on the Physical Count of Local Road Network, and Local Road Network Ledger Cards, and disclosure in the Notes to the Financial Statements as prescribed by COA Circular 2015-008 dated November 23, 2015. [AOM No. 2023-014 (2022) dated February 15, 2023]**

2.1 Public infrastructures shall form part of and be recorded in the books as PPE. Such include, among others, the road network system composed of road lot, roadpavement, drainage and slope protection structures and other miscellaneous structures. The Road Asset components are the sub-components of a road, which having different useful life spans, will need to be booked and depreciated separately.

2.2 COA Circular No. 2015-008 dated November 23, 2015 prescribes the accounting and reporting guidelines on the Local Roads Asset Management. Relevant provisions are as follows:

V. Accounting and Reporting Procedures

1. Conduct an inventory of local roads under the LGU's jurisdiction.
2. Reconcile the list of inventory per local road inventory report and road map with those recorded in the Registry of Public Infrastructure.
3. Segregate and recognize the cost of each component of the local roads with

identified cost.

4. Determine the components of local roads identified in the inventory without corresponding cost and recognize the cost of each component in its fair value.
5. Depreciate the carrying amount of existing roads and its components to reflect the asset in its used condition and shall serve as the basis for recording in the general ledger
6. Determine the life of the local roads within the range prescribed by COA taking into consideration the following factors: a. Design b. Users c. Volume of users
7. Compute separately the depreciation for the road components taking into consideration the initial cost and useful life.
8. Maintain separate subsidiary ledgers for the road and its components...
9. Provide the complete description of the road and its components in the subsidiary ledger and reconcile with the Local Road Inventory and Road Map to ensure completeness.
10. Assess the local road at every reporting date, whether there is any indication that a component of the local road may be impaired
11. Reverse the recognized impairment loss when there is an increase in the estimated recoverable service amount of the asset from use

VI. Reporting Guidelines

1. The General Services Officer shall at the end of the accounting period render a Report on Local Road Network of the local government unit.
2. The total road network system shall be disclosed in the Notes to the Financial Statements.
3. The Inventory Committee shall prepare the Report on the Physical Count of the Road Network System of the local government unit.

2.3 The financial statements of the Municipality reported as part of PPE, a Road Networks account with year-end cost and accumulated depreciation of ₱74.503 million (Annex A) and ₱17.241 million, respectively.

2.4 In view of the foregoing, the following deficiencies were noted:

- a. The Report on Local Road Network (RLRN) was not submitted to support the recorded road networks;

- b. The disclosure requirement as prescribed in Annex B of COA Circular 2015- 008 was not provided in the Notes to Financial Statements;
 - c. The Report on the Physical Count of Local Road Networks (RPCLRN) was not prepared and submitted due to the failure to conduct an annual physical count; and
 - d. The Property, Plant and Equipment Local Road Network Ledger Cards (LRNLCs) were not maintained for each local road.
- 2.5 Due to the absence and/or non-submission of the above-mentioned reports, and non-disclosure in the Notes to Financial Statements, the propriety, accuracy, and existence of the Road Networks recorded in the financial statements could not be validated and ascertained.

2.6 We recommended and Management agreed to require:

- a. **the Municipal Engineer to provide the Municipal Accountant and GSO with the complete description and cost segregation of road components of the road projects;**
- b. **the GSO to maintain and update the local road inventory, road map and local road network property cards and render an RLRN at the end of the accounting period;**
- c. **the Inventory Committee to conduct annual physical count of local road networks and prepare and submit the RPCLRN to COA for evaluation; and**
- d. **the Municipal Accountant to prepare and maintain the LRNLCs and disclose in the Notes to the Financial Statements the total road network system in the format as prescribed in COA Circular No. 2015-008. Also, the Municipal Accountant shall maintain subsidiary records and lapsing schedule to reconcile the account, for re-computation of depreciation, and to effect the necessary adjusting entries, if any, to establish a more accurate and reliable FS.**

Unreliable Construction in Progress Account - ₱85.017 million

- 3. **The Construction in Progress -Buildings and Other Structures year-end account balance of ₱85.017 million includes prior years' infrastructure projects totaling ₱38.634 million with undetermined status of project completion, contrary to Section 50 of the Manual on the New Government Accounting System (MNGAS) for LGUs, Volume 1, rendering the account unreliable. [AOM No. 2023-013 (2022) dated February 15, 2023]**

3.1 Section 50 of the MNGAS for LGUs, Volume I provides:

Property, plant and equipment to be constructed may be classified as agency assets and public infrastructures. Agency assets are those to be used by the LGU concerned, like buildings, while public infrastructures are those to be used by the general public. The construction period theory shall be used in recording both types of assets.

During the Construction period, agency assets and public infrastructures shall be taken up in the books as - ‘Construction in Progress’ with the appropriate asset classification. As soon as the project is completed, the Construction in Progress for Agency asset is closed to the appropriate asset account. Xxx

3.2 Moreover, Paragraph 29 of IPSAS No. 1 requires an entity to present information, including accounting policies in a manner that meets a number of qualitative characteristics such as understandability, relevance, reliability and comparability.

3.3 As of December 31, 2022, the General and Subsidiary Ledger balances of the CIP-Buildings and Other Structures account amounted to ₱85.017 million, of which ₱38.634 million remained unadjusted as summarized in the following table (See Annex B for details).

Date Booked	Amount
Prior CY 2017	₱1,468,413.71
CY 2017	3,299,089.40
CY 2018	1,315,580.84
CY 2019	6,234,040.41
CY 2020	18,102,810.52
CY 2021	8,214,456.49
Total	₱38,634,391.37

3.4 The unadjusted amount of ₱38.634 million pertains to the previous years’ projects with undetermined status of project completion. Upon inquiry with the Municipal Accountant, prior years’ projects were not adjusted due to lack of appropriate supporting documents. This was due to lack of coordination between the Municipal Accountant and Municipal Engineer in monitoring the project status and the recording of expenditures incurred for all ongoing and completed projects of the Municipality.

3.5 Given the aforementioned circumstances, this could give the impression that there were expenditures improperly classified or recorded under the CIP account. In the implementation of the projects, continuous monitoring should be required to assess the performance of the individual on-going projects and those projects needed to be transferred in their appropriate PPE accounts .

3.6 Failure to identify and determine the status of the projects recorded/booked in the CIP-Buildings and Other Structures account and reclassify those already completed to their proper PPE accounts might result in the overstatement of the balances of the CIP

account and understatement of the related PPE accounts. Consequently, computation and imposition of depreciation on the said assets might not be taken up, thus, affecting the correctness and reliability of the accounts presented in the financial statements.

- 3.7 We recommended and Management agreed to direct the Municipal Accountant to coordinate with the Municipal Engineer on the projects recorded under the CIP account and identify those that are already completed and duly supported with Certificates of Project Completion to reclassify such to their appropriate PPE accounts. Henceforth, the Municipal Accountant is enjoined to reclassify projects recorded under CIP to their appropriate PPE accounts immediately upon completion.**

Unreliable CIB Account - ₱17.433 million

- 4. Reconciling items in the Bank Reconciliation Statements (BRS) of the Municipality's one current account were not identified due to the failure of the Bank to furnish the agency with the monthly bank statement for November 2022 contrary to COA Circular No. 96-011 dated October 2, 1996, thus affecting the reliability of the Cash in Bank account amounting to ₱17.433 million. [AOM No. 2023-016 (2022) dated February 17, 2023]**

4.1 COA Circular No. 96-011 dated October 2, 1996 required the Chief Accountant within ten days from receipt of the monthly bank statements from the Government Servicing Bank (GSB) together with the paid checks, original copies of Debit Memoranda (DM)/Credit Memoranda (CM) to reconcile the bank statement with the General Ledger and to prepare the BRS in four copies.

4.2 The BRS is required to be prepared to check the correctness of the cash-in-bank balance in the records of the agency and to reconcile the same with that of the bank. It serves as a basis for taking up the reconciling items that were not yet recognized in the books of either the bank or the agency and it serves as a deterrent to fraud involving the cash in bank account.

4.3 We reviewed the agency's BRS and consequently performed an inspection of bank statements for all of the depository accounts of the agency. We noted that the reconciling items in the BRS were not identified due to absence of bank statements. Details are as follows:

Account Name	Account Number	Balance per Financial Statement	Balance per Bank Statement/Bank Confirmation	Difference
DBP-Carcar Branch DRRM FUNDS (General Fund)	CA# ****-736-9	₱17,433,335.72	₱17,213,105.71	₱220,230.01

- 4.4 Our interview with the Accounting Office revealed that the reconciling items were not yet identified due to the absence of bank statement for the month of November 2022. Monthly bank statements for 2022 were made available to the Audit Team except for November 2022. It was informed that the Accounting already sent request letter for the lacking bank statement to the bank.
- 4.5 The absence of the bank statement and the non-adjustment of reconciling items in the BRS in the books of the LGU defeat the purpose of its preparation.
- 4.6 **We recommended and Management agreed to require the Municipal Accountant to obtain from the depository bank the bank statement, and thereafter, prepare and submit to the Audit Team up-to-date BRS and reflect the adjustments in the books, if any.**

Unreliable RPT and SET Receivable Accounts - ₱9.469 million

5. **The accuracy and reliability of the reported balances of Real Property Tax (RPT) Receivable and Special Education Tax (SET) Receivable accounts could not be ascertained since the recorded RPT and SET Receivables amounting to ₱9.469 million each at the beginning of the year did not tally with the Certified List of All Real Property Tax Collectibles contrary to Section 20, Volume 1 of NGAS Manual for LGUs and International Public Sector Accounting Standard (IPSAS) 1. [AOM No. 2022-003 (2022) dated December 14, 2022]**
 - 5.1 Section 20 of MNGAS for LGUs Volume I provides that Real Property Tax Receivables/Special Education Tax Receivables shall be established at the beginning of the year based on Real Property Tax Account Register/Taxpayer's index card. At the beginning of the year, the Treasurer shall furnish the Chief Accountant of a duly certified list showing the name of taxpayers and the amount due and collectible for the year. Based on the list, the Chief Accountant shall draw a Journal Entry Voucher (JEV) to record the debit to Real Property Tax Receivable/Special Education Tax Receivable and crediting to Deferred Real Property Tax Income/Deferred Special Education Tax Income.
 - 5.2 IPSAS No. 1 provides that a fair presentation also requires an entity to present information, including accounting policies, in a manner that provides relevant, faithfully representative, understandable, timely, comparable, and verifiable information.
 - 5.3 The Municipal Assessor informed the Audit Team that the assessment roll is maintained in the Enhanced Tax Revenue Assessment and Collection System (ETRACS). It is updated such that any changes during the year like cancellations are reflected therein. The Treasury and the Accounting Office can view and print the said report through the ETRACS.

- 5.4 Verification of the General Ledger (GL) disclosed that the recorded RPT and SET receivables on January 3, 2022 amounted to ₱9.469 million each.
- 5.5 Inquiry with the staff of Accounting Office revealed that the recorded RPT/SET receivables were based on the Certified List of All Real Property Tax Collectibles generated through ETRACS on the day of booking, however they were not able to print a hard copy of the said report. Thus, the Audit Team requested the Treasury Office to generate the Certified List of All Real Property Tax Collectibles from the ETRACS in order to validate and verify the recorded RPT/SET receivable at the beginning of the year.
- 5.6 Verification of the said report disclosed that it did not tally with the Subsidiary Ledger (SL) of the Accounting Office having a difference of ₱38,181.40 for each Receivable account shown in Annex C.
- 5.7 Further inquiry with the Treasury Office revealed that the above variance was due to the changes made by the Assessor's office on the assessment roll which had caused another computation of taxes. The Agency is still tracing the difference noted and will coordinate with the IT Office for possible retrieval of the original figures.
- 5.8 In view of the foregoing deficiencies, the accuracy and completeness of the reported RPT and SET Receivable account balances at year-end could not be ascertained.
- 5.9 We recommended and Management agreed that the Municipal Treasurer and Municipal Accountant undertake periodic reconciliation of the balances in the ETRACS with that of the RPT and SET Receivable account balances per books of accounts in order to recognize an accurate and verifiable data pursuant to Section 19 and 20 of the MNGAS for LGUs .**

Unreliable NGOs/Pos Receivable Account - ₱349.436 million

- 6. Management has not taken action for the write-off of the Due from Non-Government Organizations (NGO)/ People's Organizations (PO) account amounting to ₱414,650.97 that has been dormant for more than ten years contrary to COA Circular 2016-005 dated December 19, 2016, rendering the account unreliable due to the doubtful collectability of these receivables from various NGOs/Pos contrary to IPSAS No. 1. [AOM No. 2023-011 (2022) dated February 15, 2023]**

- 6.1 Relevant provisions of COA Circular 2016-005 are as follows:

Item 6.1 of COA Circular 2016-005 states that all government entities shall conduct regular monitoring and analysis of receivable accounts to ensure that these are collected when these become due and demandable and that cash advances and fund transfers are liquidated within the prescribed period depending upon their nature and purpose.

- Item 7.1 of the same Circular states that the Accountant shall conduct regular and periodic verification, analysis, and validation of the existence of the receivables, unliquidated cash advances, and fund transfers, and determine the concerned debtors, accountable officers and the source and implementing government entities concerned.
- 6.2 As defined in COA Circular 2016-005, dormant unliquidated fund transfers are those advances granted by the source entity to implementing entity for the implementation of programs/projects which remained non-moving for ten years or more and where settlement could no longer be ascertained.
- 6.3 Also, Paragraph 29 of IPSAS No. 1 requires an entity to present information, including accounting policies in a manner that meets a number of qualitative characteristics such as understandability, relevance, reliability and comparability.
- 6.4 The Municipality, being one of the beneficiaries of “Ginintuang Masaganang Ani Credit Access Resources (GMA CAREs)” program by the Department of Social Welfare and Development (DSWD), granted soft loans to various NGOs/Pos since 2002.
- 6.5 Verification of the submitted schedule on the Status of Fund Transfers to NGOs/POs (Account 103-06-030) disclosed that loans totaling ₱414,650.97 were not fully liquidated and have become dormant as of December 31, 2022 as follows:

Name of NGOs/Pos	Date of Grant of Loan	Unliquidated Amount as of December 31, 2022	No. of Years Outstanding
DAFEPO (Dalaguete Federation of Peoples Organization)	May 22, 2003	₱165,000.00	19 years
MFARMC (Municipal Farmers and Aquatic Resource Multi-Purpose Cooperative)	March 31, 2002	50,000.00	20 years
GONA (Gamay nga Organisasyon Nagkinahanglan og Ayuda)	September 6, 2004	43,300.00	18 years
DUFAMCI (Dumalan Farmers Cooperative Inc.)	April 30, 2002	42,033.32	20 years
CAFAMCI (Cawayan Farmers Multi-Purpose Cooperative Inc.)	May 16, 2003	40,083.25	19 years
BIRAFa (Babayongan Irrigators and Farmers Association)	May 30, 2003	21,050.00	19 years
DUFLA (Dugyan Farmers and Livelihood Association)	May 19, 2003	17,804.40	19 years
DATODRIMCI (Dalaguete Tricycle Operators & Drivers Multi-Purpose Cooperative Inc.)	May 16, 2003	15,600.00	19 years
MAFA (Manlapay Farmers Association)	March 31, 2004	11,740.00	18 years
BARMO (Balud Aquatic Resource Management Organization)	November 2005	4,840.00	17 years

Name of NGOs/Pos	Date of Grant of Loan	Unliquidated Amount as of December 31, 2022	No. of Years Outstanding
BIA (Bulak Irrigators Association)	August 24, 2005	3,200.00	17 years
TOTAL		₱414,650.97	

6.6 Inquiry with the Municipal Accountant disclosed that no demand letters were sent for the full settlement of these unliquidated balances since the said NGOs/POs are already inexistent and Management had difficulty in locating the officers/focal persons of these organizations. Also, no legal action has been instituted for these defaulting NGOs/POs.

6.7 The Management's inaction on these receivables resulted in its dormancy and non-collection, thus deprived the government of the funds that could have been used for other necessary projects. Moreover, the inclusion of these dormant accounts with doubtful collectability in the Due from NGOs/POs account rendered the account balance unreliable thereby affecting the fair presentation of the FS.

6.8 A similar audit finding had been brought to the attention of Management in the Annual Audit Report for CY 2021.

6.9 We reiterated our recommendation and the Municipal Mayor agreed to direct the Municipal Accountant to send demand letters to the concerned NGOs/POs and exhaust all the remedies for the full settlement of their accounts; otherwise, initiate a request for write-off of these receivables duly supported with the documents as required by COA Circular 2016-005 dated December 19, 2016.

Unreconciled Intra-agency Accounts, Due from/to Other Funds - ₱226,395.18

7. Balances of intra-agency accounts, Due from Other Funds did not reconcile with its reciprocal account Due to Other Funds resulting in a difference of ₱226,395.18, contrary to IPSAS No. 1, thus casting doubt on the reliability and accuracy of the amounts presented in the financial statements. [AOM No. 2023-012 (2022) dated February 15, 2023]

7.1 Paragraph 29 of IPSAS No. 1 requires an entity to present information, including accounting policies in a manner that meets a number of qualitative characteristics such as understandability, relevance, reliability and comparability.

7.2 The Due from Other Funds account is an Intra-Agency Receivable which is used to record in the agency books the amount of advances to other funds which will be credited upon liquidation. The Due to Other Funds account, on the other hand, is an Intra-Agency Payable, used to record the authorized receipt of funds from one fund to another fund maintained by the same agency which will be debited for the transfer of the funds to another fund. These two accounts are reciprocal that should reconcile with each other.

7.3 In the verification of the two accounts, a difference of ₱226,395.18 was noted as of December 31, 2022 and is presented in the table below:

	GF	SEF	TF	TOTAL
Due From Other Funds	₱2,168,168.49	₱803,122.20	₱4,640,212.11	₱7,611,502.80
Due To Other Funds	5,375,289.84	120,823.23	1,888,994.55	7,385,107.62
Difference				₱226,395.18

7.4 Comparison of the balances of the two accounts showed a difference of ₱226,395.18 which is abnormal considering that the two accounts operate as reciprocal accounts and must, therefore, reflect the same total amount at any given date.

7.5 Analysis and adjustments to the accounts should be made, if necessary, to reflect the accurate and reconciled consolidated balances of these accounts. The Municipal Accountant should take note that an entry using a reciprocal account in one fund would also mean another entry using the corresponding reciprocal account in another fund, thus the discrepancy noted on the balances of the Due from Other Funds and Due to Other Funds accounts has rendered the reliability and accuracy of the amounts presented in the FS doubtful.

7.6 A similar audit finding had been brought to the attention of the Management in the Annual Audit Report for CY 2021.

7.7 We reiterated our recommendation and the Municipal Accountant agreed to trace and examine the entries in the Due from/to Other Funds accounts and subsequently make the necessary adjustments to reflect the accurate and reconciled balances.

Unrecorded Inventory Account for COVID-19 Vaccines - ₱7.913 million

8. The receipt of Covid-19 Vaccines with an aggregate value of ₱7.913 million from the Department of Health – Center for Health Development (DOH-CHD) VII and other agencies were not recorded to the appropriate Inventory account in the books of the Municipality contrary to International Public Sector Accounting Standard (IPSAS) 12 and Section 63 of PD No. 1445, thus control over recording and monitoring on the issuance of vaccines were not observed and the affected accounts were not fairly stated in the financial statements as at year end. [AOM No. 2023-018 (2022) dated February 18, 2023]

8.1 IPSAS No. 12 states that where inventories are acquired through a non-exchange transaction, their cost shall be measured at their fair value as at the date of acquisition.

8.2 Meanwhile, Section 63 of PD No. 1445 provides that except as may otherwise be specifically provided by law or competent authority all moneys and property officially received by a public officer in any capacity or upon any occasion must be accounted for as government funds and government property. Government property shall be taken up in the books of the agency concerned at acquisition cost or an appraised value.

8.3 The Republic Act (RA) No. 11525, also known as the COVID-19 Vaccination Program Act of 2021 was approved on February 26, 2021 to implement the State policy of adopting an integrated approach to health development and make essential social services available to all people at an affordable cost.

8.4 Section 4 of the said RA provides that LGUs may directly accept donations of Food and Drug Administration (FDA)-authorized-and-cleared COVID-19 vaccines, subject to the guidelines and reportorial requirements of the DOH and the National Task Force Against COVID-19 (NTF).

8.5 In CY 2022, the Municipality received a total of 9,599 vials of COVID-19 vaccines. Of these, only 4,644 vials received from the DOH-CHD VII have the corresponding cost aggregating ₱7.913 million. The rest were received from the other agencies without an indicated cost per vial as shown below:

Name of Vaccine(Brand)	Vaccines Received in CY2022		Remaining Vaccines as of December 31, 2022	
	Quantity(in vials)	Total Cost	Quantity(in vials)	Total Cost
Source: DOH-CHD VII				
Pfizer	3,630	₱7,596,645.90	6	₱20,494.98
Sinovac	1,000	305,680.00	0	0
Moderna	14	11,163.62	0	0
Source: Cebu Provincial Health Office (CPHO)				
Sinovac	4,000	No Cost	0	0
Astrazeneca	475	No Cost	0	0
Janssen	200	No Cost	0	0
Pfizer from DOH RO7	80	No Cost	31	No Cost
Sinovac from LGU-Alcoy	200	No Cost	73	No Cost
Total	9,599	₱7,913,489.52	110	₱20,494.98

8.6 Review of the Rural Health Unit's (RHU) Inventory Report disclosed that these vaccines were properly quantified and recorded per quantity per brand and that the expiry dates were monitored on a per-brand basis. As of end of 2022, this report disclosed a balance of 110 vials of vaccines in different brands, which are still in stock as indicated above.

8.7 However, the above-mentioned Covid-19 vaccines valued at ₱7.913 million from DOH were not recorded in the books of the Municipality. Further, the year-end balances were

also not recorded hence, both the inventory and the donation accounts were understated by ₱20,494.98.

- 8.8 Moreover, the Requisition and Issue Slip (RIS) and Stocks Transfer Form from other LGUs and the Property Transfer Report (PTR) from DOH VII did not disclose the unit cost per vial of the vaccines which could have been recorded in the books of the Municipality.
- 8.9 Inquiry with the Municipal Accountant disclosed that the RHU did not provide the accounting unit with the inventory report as well as the supporting RIS, Stocks Transfer Form and PTR thus the former was not aware that the said vaccines amounting to ₱7.913 million are to be recorded in the books of the Municipality.
- 8.10 The non-recording of the vaccines received by the Municipality due to the lack of coordination among the source agencies, the RHU and the Accounting Office is not in conformity with IPSAS 12. As a consequence, control over recording and monitoring on the issuance of vaccines were not observed and the inventory, expense and donation accounts were understated.
- 8.11 We recommended and Management agreed that the RHU furnish a copy of the Inventory report of COVID-19 vaccines to the Accounting Office for the latter to further verify, and thereafter, take-up the verified balance in the Municipality's books of accounts to adjust the balances of both the inventory, expense and donation account balances. We also recommended and both offices (RHU and Accounting) agreed to observe proper coordination in order to prevent similar omissions/errors in their future operations considering that the vaccination is still a continued priority program in 2023.**
- 8.12 It is further recommended that the RHU and other concerned offices shall properly monitor all inventories and donations received by the Municipality and ensure that these are all documented.**

COMPLIANCE AUDIT

Cash advance exceeded maximum cash accountability covered by Fidelity bond of ₱1 million

- 9. Cash advances (CAs) granted to the Disbursing Officer (DO) exceeded the maximum cash accountability covered by the fidelity bond of ₱1 million contrary to Section 5.1 of Treasury Circular No. 02-2009 dated August 6, 2009, exposing government funds to risk as the existing fidelity bond is inadequate to cover possible losses. [AOM No. 2023-008 (2022) dated January 30, 2023]**
- 9.1 Section 5.1 of Treasury Circular No. 02-2009 dated August 6, 2009 states that the amount of bond shall be based on the total accountability (cash, property and accountable forms) of the accountable public officer as determined by the Head of

Agency. Provided the individual maximum accountability of each accountable public officer shall not exceed One Hundred Million Pesos (₱100M). However, the Head of Agency may assign other public officers the excess accountability for which a separate Fidelity Bond shall be secured.

9.2 Verification of records revealed that the DO who had applied for fidelity bond in the amount of ₱0.5 million were granted cash advances in excess of the DO's maximum cash accountability of ₱1 million (See Annex D).

9.3 The substantial difference on the amount of CAs as against the maximum cash accountability of the DO's fidelity bond is disadvantageous to the government as the Municipality may not be able to recover losses in cases of defalcations, shortages, robbery, fire and the like.

9.4 We recommended and Management agreed to increase the DO's amount of bond to ensure that the fidelity bond is sufficient to cover the actual accountabilities of the accountable officer as required under Treasury Circular No. 02-009.

Unutilized x-ray machine - ₱4.490 million

10. Purchased x-ray machine amounting to ₱4.49 million has not been utilized up until the audit date, thus affecting the efficient delivery of quality health services to the constituents and may lead to wastage of government resources due to deterioration/depreciation without attaining its intended use. [AOM No. 2023-006 (2022) dated January 24, 2023]

10.1 As provided for under Section 2 of PD No. 1445, it is the declared policy of the state that all resources of the government shall be managed, expended or utilized in accordance with law and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The responsibility to take care that such policy is faithfully adhered to rests directly with the chief or head of the government agency concerned.

10.2 During CY 2022, the Municipality received financial assistance from the Department of Interior and Local Government (DILG) amounting to ₱4.5 million for the purchase of medical equipment. The said fund was used to purchase on December 29, 2022 an x-ray machine (computed radiography) costing ₱4.49 million, paid under check no. 89176.

10.3 Review of documents disclosed that the Notice to Proceed and the collection receipt were dated November 16, 2022 and January 5, 2023, respectively. However, the sales invoice, delivery receipt and the Inspection and Acceptance Report (IAR) were not filled-out with dates. The Municipal Health Office (MHO) focal person informed that they received the machine on November 17, 2022. The sales invoice and

delivery receipt were signed on the “Received By” portion by the RHU staff while the IAR was signed by the ICO-MHO.

- 10.4 Verification disclosed that the purchased x-ray machine is not yet operational to date. Based on inquiry with the MHO focal person, the x-ray machine was not yet installed since they are waiting for the procurement of an air conditioning unit to be placed in the room where the machine is located.
- 10.5 The non-utilization of this equipment affects the efficient delivery of quality health services to the constituents and may lead to wastage of government resources due to deterioration/depreciation without attaining its intended use.
- 10.6 **We recommended and Management agreed that the end-user prioritize the immediate operation of purchased x-ray machine and likewise, require the BAC to speed-up the procurement of the needed air conditioning unit and henceforth properly plan its undertakings and consider all necessary measures before the procurement/ implementation thereof to ensure efficient and effective delivery of services to its constituents.**

Unpaid Soft Loan from President’s Social Fund with an interest of six per cent per annum - ₱1.195 million

11. **Soft loan extended to the Municipality from the President’s Social Fund during CY 2003 amounting to ₱1 million remains unpaid as of December 31, 2022 which may incur additional interest expense of ₱1.195 million to the disadvantage of their constituents which could have been utilized for the implementation of priority programs/projects/activities** [AOM No. 2023-007 (2022) dated January 25, 2023]

11.1 The Municipality received a ₱1 million four-year, 6 per cent loan (classified as a soft loan since with minimal interest) from the President’s Social Fund (PSF) of the Office of the President (OP), with a grace period of one year, for the implementation of the “Isang Bayan, Isang Produkto, Isang Milyong Piso” Program of the national government on January 29, 2003. It was gathered that the Memorandum of Agreement between the Office of the President and the MGD remained unsigned because the Mayor’s League was preparing a resolution requesting the Office of the President to consider it as a financial assistance, instead of a loan. In the 2007 Annual Audit Report (AAR) of COA, which recommended it to be reclassified as a Loans Payable Domestic (444), requested for a copy of the said resolution, but they could not furnish the auditor.

11.2 It was learned also that *“a demand letter from the Office of the President dated November 22, 2007 was filed in the Office of the Municipal Accountant stating that the amount due and demandable is ₱1,124,062.50”* (Finding No. 5 of 2007 COA AAR). Further, we quote paragraph 4 of same Finding, *“inquire from the Office of the President as to the status of the request of the mayor’s league (if there’s any) to determine if the request was granted. If no reply, require the municipal*

accountant to prepare a Journal Entry Voucher to correct the entry made by debiting the account Due to NGAS (416) and crediting the account Loans Payable- Domestic (444).” The former Accountant complied on December 31, 2008 to COA’s recommendation of reclassifying the account, thus it could be deduced that there was no reply received from the Office of the President.

11.3 The Audit Team requested that a loan confirmation letter be sent to the Office of the President but the Municipal Accountant was not able to do such, for the reason that the said loan was a grant and not a loan. However, we requested for a copy of the mentioned resolution from the Mayors’ League or any proof that the amount was a grant from current Management and nothing could be furnished to the team.

11.4 Notwithstanding the recommendation to pay the Loans Payable plus interest since 2007, the same remains unpaid as at year-end. It was estimated that the loan may have incurred an interest expense of at least ₱1,195,000.00 with details as follows:

Year	Interest
2003	₱55,000.00
2004	60,000.00
2005	60,000.00
2006	60,000.00
2007	60,000.00
2008	60,000.00
2009	60,000.00
2010	60,000.00
2011	60,000.00
2012	60,000.00
2013	60,000.00
2014	60,000.00
2015	60,000.00
2016	60,000.00
2017	60,000.00
2018	60,000.00
2019	60,000.00
2020	60,000.00
2021	60,000.00
2022	60,000.00
Total	₱1,195,000.00

11.5 The Municipal Accountant and the Municipal Budget Officer informed that the amount was already expended for the purchase of livestock. However, the said fund was still carried in the books as Loans Payable. The Accountant also has not furnished this Office of Fund Utilization Report of the said disbursements.

11.6 This audit observation has been reported in the CY 2007 Annual Audit Report, in which the audit recommendation remains unimplemented to date.

11.7 We recommended and Management agreed to submit to the Audit Team a status report on the concrete actions carried out by the Municipality taking into consideration the demand letter on November 22, 2007 from the Office of the President treating the amount of ₱1,000,000.00 as a liability of the Municipality, bearing an interest expense of six percent per annum, whether utilized or not utilized.

11.8 Likewise, we recommended that Management inform the Sangguniang Bayan of this liability so that funds could be allocated for such amount.

20% DF not Optimally Utilized with Unobligated Allotments - ₱54.390 million

12. The Municipality had not optimally utilized its current and continuing appropriations for the 20 per cent Development Fund as manifested by significant balances in unobligated allotments of ₱54.390 million contrary to Section 287 of Republic Act (R.A.) No. 7160 and DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1, hence deprived the end-users of the benefits of the timely implementation of the projects. [AOM No. 2023-002 (2022) dated January 17, 2023]

12.1 Section 287 of R.A. No. 7160 provides that each local government unit shall appropriate in its annual budget no less than twenty percent (20%) of its annual internal revenue allotment for development projects. For CY 2022, the Municipality appropriated a total of ₱57.2 million to fund its 27 development projects.

12.2 DBM-DOF-DILG JMC No. 1 dated November 4, 2020 states that:

5.2 The LGUs shall ensure that the development projects to be funded out of the 20% DF are well-planned and procurement-and implementation-ready.

4.0 The responsibility and accountability in ensuring that the development projects funded under the 20% DF comply with the guidelines under this JMC and optimally contribute to the attainment of desirable socio-economic targets and outcomes of the LGU shall rest upon the local chief executive (LCE) and other officials concerned.

12.3 Review of the Municipality's Status of Appropriations, Allotments, Obligations and Balances for Current Appropriations pertaining to Local Development Projects showed that, out of the 27 identified development projects for CY 2022, 10 projects totaling ₱15.02 million remained unimplemented as of December 31, 2022, to wit:

Programs/Projects/Activities (PPAs)	Appropriations
Construction of second floor of SICC	₱5,000,000.00

Programs/Projects/Activities (PPAs)	Appropriations
Construction of Waste Water Treatment Facility (Phase 1)	3,000,000.00
Acquisition of lots for dev't. projects	2,000,000.00
Urban Dalaguete Drainage System	1,000,000.00
Road Opening Project Ablayan and Panas	1,000,000.00
Counterpart Funds for Nationally Funded Projects	1,000,000.00
Completion of Halfway House	750,000.00
Documentation/titling and site development	500,000.00
Amonsao Catolohan Potable Water Project	430,000.00
Upper Obo Potable Water Project	340,000.00
Total	₱15,020,000.00

- 12.4 Moreover, Registries of Appropriations, Allotments and Obligations for Continuing Appropriations pertaining to Local Development Projects showed that 32 projects totaling ₱39.37 million remained unimplemented as of December 31, 2022. (Annex E)
- 12.5 Inquiry with the Municipal Planning and Development Coordinator, who was also the former Municipal Engineer, disclosed that the cited projects were of the previous administration. In CY 2022, the Management focused on the implementation of projects related to COVID-19 and Typhoon Odette and they were also busy during the election. It was further informed that it was only the LCE who can decide on what projects are to be implemented first.
- 12.6 Proper planning is very important in order to ensure that all PPAs of the Municipality that will help and contribute in the attainment of its mandated functions will be implemented and completed within the target period.
- 12.7 Regardless of the mode of implementation, the projects should be realized and completed within the scheduled time frame so that the intended social and economic benefits may be enjoyed by the intended beneficiaries on time. Section 476 of R.A. 7160 enumerates the duties of the Planning & Development Coordinator which includes, among others, the monitoring and evaluation of the implementation of the different development programs, projects and activities in the LGU in accordance with the approved development plan.
- 12.8 The non-implementation of various development projects during the year deprived the end-users of the timely benefits that may be derived had the projects been completed as planned. It also piled up the workload of the implementing offices in the succeeding year.
- 12.9 We recommended and Management agreed that the Municipal Planning and Development Coordinator and Municipal Engineer fast-track the implementation of priority projects for the current and continuing appropriations and ensure that the projects are implemented during the year these are programmed and scheduled to be completed.**

12.10 We also recommended that the Municipal Planning and Development Coordinator carefully plan the Development Projects/Activities/Programs under the 20 per cent Development Fund and ensure that these projects are procurement- and implementation-ready.

12.11 Finally, we recommended that Management evaluate the viability of the projects that were not implemented during the year for appropriate realignment.

Unutilized PDAF, not reverted back to the National Treasury - ₱1.529 million

13. Unutilized Priority Development Assistance Fund (PDAF) amounting to ₱1.529 million was not reverted back to the National Treasury contrary to the Supreme Court decision dated November 19, 2013, in GR Nos. 208566, 208493, and 209251, thereby, casting doubt on the authority of the Municipality to withhold the said funds. [AOM No. 2023-004 (2022) dated January 19, 2023]

13.1 The Supreme Court Decision En Banc on PDAF dated November 19, 2013 state in GR Nos. 208566, 208493 and 209251 that the remaining or unexpended PDAF funds shall not be disbursed/released but instead reverted to the unappropriated surplus of the general fund.

13.2 Review of Subsidiary Ledgers (SL) disclosed that there were unspent balances from PDAF that remained with the Municipality and included in the Due to NGAs account balance as of year-end, as follows:

Code	SL Description	Amount
20201050-900-005	PDAF from Sen T. Guingona – CIDSS per SARO# G-13-00882 dated March 22, 2013	₱582,400.00
20201050-900-003	PDAF from Cong. Garcia for Construction of DNHS schoolbuilding per SARO # BMB-G-12-T000002585 dated	500,000.00
20201050-900-004	PDAF from Cong. Garcia for food assistance to all indigent constituents as per SARO# SARO-BMB-G-13-	347,059.00
20201050-900-006	PDAF from Cong, Garcia for Mantalongon National HighSchool	100,000.00
Total		₱1,529,459.00

13.3 The funds remained with the Municipality and included in the Due to NGAs account instead of being returned/ remitted to the Bureau of Treasury.

13.4 The non-reversion of the unutilized PDAF totaling ₱1.529 million and the continuous inclusion in the Due to NGAs account is contrary to the above-cited

Supreme Court decisions. Moreover, the funds remain idle instead of being used for other immediate needs of the government. Further, these funds are exposed to possible misuse or misappropriation.

- 13.5 We recommended and Management agreed to remit to the Bureau of Treasury the unutilized PDAF aggregating ₱1.529 million pursuant to the Supreme Court Decision dated November 13, 2013 to prevent misuse or misappropriation thereof.**

Unexpended/unused balances from completed projects not returned to source agencies - ₱286,756.24

- 14. Unexpended balances of completed Programs, Projects and Activities (PPAs) totaling ₱286,756.24 were not returned to the source National Government Agencies (NGAs) contrary to the provisions of COA Circular No. 94-013 dated December 13, 1994. [AOM No. 2023-005 (2022) dated January 19, 2023]**

14.1 COA Circular No. 94-013 dated December 13, 1994 provides the Rules and Regulations in the Grant, Utilization and Liquidation of funds transferred to Implementing Agencies (IA). Item 6.7 of the Circular, among the duties and responsibilities of the IA states that the implementing agency shall return to the source agency any unused balance upon completion of the project.

14.2 Similarly, Item 3.2 of COA Circular 2012-001 dated June 14, 2012 prescribes the following documentary requirements regarding the transfer of unspent balances/excess amount of fund transfers from Trust Fund to the General Fund:

- Report of Receipt, Disbursement and Fund Balance certified by Accountant;
- Contract, which may be a MOA, Trust Agreement or Memorandum of Understanding governing the utilization of funds and disposition of any balance thereof after completion of the purpose of the funds transferred; and
- Letter of the IA to Source Agency to transfer the unexpended balance to the General Fund duly approved by the Source Agency, if the disposition thereof has not been provided in the MOA, Trust Agreement or Memorandum of Understanding.

14.3 Examination of the Due to NGAs account subsidiary ledgers disclosed unexpended balances from completed PPAs with aggregate amount of ₱286,756.24 that were not returned to the respective source agencies as of December 31, 2022. Details are as follows:

Source Agency	Description of PPAs per SL	No. of Years Idle	Unexpended Balance
Trust Fund			

Source Agency	Description of PPAs per SL	No. of Years Idle	Unexpended Balance
Others	Construction of National Child Development Center	< 1 yr.	₱112,277.85
DA	Construction of Vegetable Trading Post (BUB 2015)	1 yr.	80,881.57
DOH	Municipal Health Leadership and Governance Program	2 yrs.	28,848.45
DOH	Completion / Repair / Renovation of Cawayan BHS	1 yr.	16,293.67
DILG	Purchase of Medical Equipment (LGSF-OFA)	< 1 yr.	10,000.00
DOH	Construction of RHU II and Birthing Center	< 1 yr.	7,073.14
Sub-Total of less than 1 to 2 years			₱255,374.68
DA	Construction of Trading Post	> 6 yrs.	₱3,788.53
DILG	Performance Challenge Fund (PCF) – SGLG	4 yrs.	1,961.69
DENR	Giant Clam Enhancement Project	> 6 yrs.	1,399.05
DOH	Communicable Disease	3 yrs.	182.80
Sub-Total of 3 years and beyond			₱7,332.07
Total – Trust Fund			₱262,706.75
General Fund			
Others	RUDIFP	> 6 yrs.	₱15,000.00
DPWH	Concreting of Mantalongon Barangay road	> 6 yrs.	9,049.49
Total – General Fund			₱24,049.49
Grand Total			₱286,756.24

14.4 The failure to return the unexpended amounts to the source agencies has rendered the funds to become idle, contrary to the purpose for which these were transferred. At the same time, unwarranted retention of the funds has delayed the liquidation of amounts received, contrary to established rules and regulations. Moreover, the funds are exposed to risk of misuse or misappropriation.

14.5 We recommended and Management agreed to:

- a. Coordinate with the source agencies and request for authority to transfer the unexpended balances to the General Fund of the Municipality. Otherwise, return the unexpended balance of completed PPAs with an aggregate amount of ₱286,756.24 to the source agencies, whichever is appropriate; and
- b. Submit to the Audit Team the corresponding liquidation report and other pertinent documents for post-audit.

Funds from NGAs remained unutilized and not supported with MOA - ₱27.450 million

- 15. Funds received from various National Government Agencies (NGAs) for the implementation of priority programs and projects totaling ₱27.450 million were not supported with a Memorandum of Agreement (MOA) and remained unutilized as of year-end; thus, the purpose of such funds cannot be identified and were not achieved. [AOM No. 2023-015 (2022) dated February 17, 2023]**

- 15.1 COA Circular No. 2015-009 prescribes the revised chart of accounts for LGUs. As provided therein, the Due to NGAs account is used to record the receipt of funds for the delivery of goods/services as authorized by law, fund transfers from NGAs for implementation of specific programs or projects and other inter-agency transactions.
- 15.2 COA Circular 2012-001 prescribes the revised documentary requirements for common government transactions. Section 3.0 thereof, provides that one of the requirements for the transfer of funds to implementing agency is the MOA/Trust Agreement.
- 15.3 The FS as of December 31, 2022 showed that the Due to NGAs account had a consolidated balance of ₱30.703 million. Review of the subsidiary ledgers disclosed that there were funds with large balances which were not fully utilized or even remained unutilized/unimplemented totaling ₱27.45 million as follows:

Source Agency	Date Booked	SL Description	Unutilized Amount
DILG	4/04/2022	Installation of Street Lights for Brgys. Jolomaynon, Caliongan, Nalhub, Langkas & Ablayan (LGSF-FA)	₱10,000,000.00
DILG	5/25/2022	Rehabilitation of Municipal Road	10,000,000.00
DILG	7/25/2022	Construction of Multi-Purpose Building at Barangay Mantalongon (LGSF-Other Financial Assistance to LGU)	5,000,000.00
DA	Prior CY 2017	GMA – CARES	1,000,000.00
DA	9/23/2021	Irrigation Project in Sitio Libo, Catolohan (BUBProject)	750,000.00
DILG	7/25/2022	Food Assistance (Purchase of Rice) to Indigent Individuals or Group (LGSF-Other Financial Assistance)	500,000.00
DOH	Prior CY 2017	TB DOTS services and augment operational/financial support (RHU II)	200,000.00
		Total	₱27,450,000.00

- 15.4 The Audit Team requested from the Municipal Accountant the copies of the MOA for each of the funds received from various NGAs. However, we were informed that no available files of the MOA were maintained by the office.
- 15.5 The MOA is an important document which contains the stipulations with regard to the implementation of the programs and projects and the agreement between the source and the implementing agencies. Also, the MOA is one of the documentary requirements in the receipt of funds from source agencies, as provided for by COA Circular No. 2012-001. The Accounting Office should have the copies of the MOA as reference and basis in the monitoring and evaluation on the utilization of the funds received and to ensure compliance with its provisions.
- 15.6 The non-monitoring of the various funds received could have been attributed to the absence of a MOA. The absence of the MOA hindered the Audit Team in conducting evaluation/assessment on the compliance of its provisions. The non-monitoring thereof may result in the non-utilization and eventual return of the funds to the source agency, depriving the intended beneficiaries of the benefits that could be derived therefrom.
- 15.7 We recommended and Management agreed to direct the Municipal Accountant to secure copies of the MOA for each fund received from various NGAs and utilize the funds for the intended purposes for the benefit of the constituents.**

LDRRMO mandatory positions not filled up and non-compliance with CSC requirement on approval of LDRRM Officer appointment

- 16. Mandatory positions for the Local Disaster Risk and Reduction Management Office (LDRRMO) were not filled up and the required Civil Service Commission (CSC) approval on the appointment of the LDRRM Officer was not complied as prescribed under Section 5 of NDRRMC-DILG-DBM-CSC JMC No. 2014-1 hence, may affect its ability to effectively discharge its functions and responsibilities. [AOM No. 2022-002 (2022) dated December 14, 2022]**

- 16.1 Section 5.2 of NDRRMC-DILG-DBM-CSC JMC No. 2014-1 states that the LDRRMO shall be initially composed of a Local DRRM Officer to be assisted by three (3) staff responsible for: (1) administration and training; (2) research and planning; and (3) operations and warning.
- 16.2 Further, Section 5.5 of said JMC states that LGUs may augment the staff of the LDRRMO through any or a combination of the following options: (1) Designation or assignment of personnel of LGU to the LDRRMO in concurrent capacities with their existing positions; (2) Reassignment of personnel of the LGU to the LDRRMO; (3) Full-time or part-time detail of existing personnel of other government agencies to the LDRRMO; and/or (4) Transfer of existing vacant positions from other units

to the LDRRMO. Accordingly, such vacant positions shall be abolished and positions appropriate to the LDRRMO shall be created.

16.3 Review of the structure and composition of the Municipality's DRRMO disclosed that it was not properly manned since it was operated only by the Municipal DRRM Officer instead of assigning three staff who will assist the LDRRM Officer. Also, the Human Resource Management Officer informed that the status of appointment of the Municipal DRRM Officer was invalidated and an appeal was filed with the CSC three years ago but no response has yet been received.

16.4 Non-compliance with the prescribed structure and composition of the LDRRMO may affect its ability to effectively discharge its functions and responsibilities.

16.5 We recommended that the Municipal Mayor hire or designate qualified personnel to occupy the mandatory positions of the LDRRMO and secure CSC approval on all appointments in accordance with item 5.5 of the JMC.

Management's Comment:

16.6 The Municipal Mayor expressed that he was undecided to fill up such positions due to personnel services cost.

Auditor's Rejoinder:

16.7 The Audit Team recognizes the predicament of the LGU considering its limited resources with the suggestion that Management revisits Section 5.5 of the JMC which states that LGUs may augment the staff of the LDRRMO through any or a combination of the following options: (1) Designation or assignment of personnel of LGU to the LDRRMO in concurrent capacities with their existing positions; (2) Reassignment of personnel of the LGU to the LDRRMO; (3) Full-time or part-time detail of existing personnel of other government agencies to the LDRRMO; and/or (4) Transfer of existing vacant positions from other units to the LDRRMO.

Unexpended Balance of LDRRMF was not incorporated in the LDRRMFIP - ₱13.140 million

17. The unexpended balance of the previous years' Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling ₱13.140 million was not incorporated in the CY 2022 LDRRMF Investment Plan (LDRRMFIP), thus, casting doubt on the validity, propriety and legality of the projects and activities charged against the said account contrary to COA Circular No. 2012-002. Furthermore, the Report on Sources and Utilization of DRRMF was not submitted on or before the 15th day after the end of each month contrary to the said Circular. [AOM No. 2023-003 (2022) dated January 17, 2023]

17.1 COA Circular No. 2012-002 dated September 12, 2012 on the Accounting and Reporting Guidelines for the Local Disaster Risk Reduction and Management Fund

(LDRRMF) of Local Government Units (LGUs), National Disaster Risk Reduction and Management Fund (NDRRMF) given to LGUs and Receipts from Other Sources, provides the following:

- 4.4. The unexpended LDRRMF shall accrue to a special trust fund solely for the purpose of supporting disaster risk reduction and management activities of the Local Disaster Risk Reduction Management Council (LDRRMC) within the next five (5) years. **The LDRRMCs shall decide on the use of the unexpended balance of the LDRRMF which shall be incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan (LDRRMFIP).**
- 5.1.2 A LDRRMFIP for the DRRM program shall be prepared annually. It shall present the 30% allocation for QRF in lump-sum and the allocation for disaster mitigation, prevention and preparedness with details as to projects and activities to be funded. **The LDRRMFIP shall also include under a separate caption, the list of projects and activities charged to the unexpended LDRRMF of previous years.**
- 5.1.5 A Report on Sources and Utilization of DRRMF shall be prepared and certified correct by the Local Accountant. The Local Disaster Risk Reduction and Management Officer (LDRRMO) shall submit the report **on or before the 15th day after the end of each month** through the LDRRMC and Local Development Council (LDC) to the COA Auditor of the LGU.
- 5.1.15 **The LDRRMFIP shall be reviewed and updated annually to include the activities to be funded from the unexpended QRF and DRRMF-MOOE of the previous years which were transferred to the Special Trust Fund.**
(emphasis supplied)
- 17.2 Review of the submitted LDRRMFIP disclosed that only the programs and activities planned for the current year's LDRRMF appropriation were shown while the unexpended balance of the previous years' DRRM Fund totaling ₱13.140 million as of December 31, 2021, booked under the Trust Liabilities-DRRMF, was not included thus, casting doubt on the validity, propriety and legality of the projects and activities charged against the Trust Liabilities-DRRMF account. Furthermore, the monthly Report on Sources and Utilization of DRRMF were not submitted.
- 17.3 Inquiry with the LDRRM Officer-Designate revealed that he assumed position in September 2022. He was not yet aware of the inclusion of the unexpended LDRRMF, booked under the Trust Liabilities-DRRMF account, in the LDRRMFIP for CY 2022 and the submission of the monthly report.
- 17.4 The above-cited observations are not in conformity with the provisions of COA Circular No. 2012-002 dated September 12, 2002, thus casting doubt on the validity, propriety and legality of the projects and activities charged against the Trust

Liabilities-DRRMF account. Furthermore, the non-submission of the Report on Sources and Utilization of LDRRMF may have hampered the periodic monitoring of the LDRRMF and its utilization.

17.5 We recommended and Management agreed to:

- a. Submit an amended LDRRMFIP that includes the list of projects and activities charged against the unexpended LDRRMF in the previous years in conformity with the provisions of COA Circular No. 2012-002; and**
- b. Submit the monthly Report on Sources and Utilization of DRRMF duly certified correct by the Municipal Accountant and henceforth, observe the timely submission thereof.**

Transportation allowances for EB Training charged against LGU funds - ₱90,000.00

18. The payment of transportation allowances to 150 members of the Municipal Electoral Boards assigned in the Municipality of Dalaguete, Cebu totaling ₱90,000.00 for the attendance to Electoral Board (EB) Training on March 19 to 21, 2022 were charged against the LGU fund contrary to Republic Act (RA) No. 10756, otherwise known as the “Election Service Reform Act” (ESRA) and Section 10 of the Omnibus Election Code, thus LGU funds were not safeguarded against invalid claims. [AOM No. 2023-001 (2022) dated January 17, 2023]

- 18.1 Section 4 of the ESRA provides that persons rendering election service shall be entitled to honoraria, travel allowance, and such other benefits as may be granted by the Commission on Elections (COMELEC).
- 18.2 Further, the MOA between Department of Education (DepEd) and COMELEC in connection with the May 9, 2022 National and Local Elections (NLE) provides that the COMELEC shall undertake to pay the honoraria and allowances due to the Chairperson, Poll Clerk and Third Member of the Electoral Board, Department of Education Supervisor Official (DESO), and their respective Support Staff within 15 days from the May 9, 2022 NLE. Transportation Allowance of Electoral Boards who will attend the EB training shall also be provided in the amount of ₱2,000.00 each for trainings in the Provincial level, and ₱1,000.00 each for trainings in the District or Clustered Municipalities level.
- 18.3 Section 10 of the Omnibus Election Code of the Philippines provides that, except in barangay elections, such expenses as may be necessary and reasonable in connection with the elections, referenda, plebiscites and other similar exercises shall be paid by the Commission.
- 18.4 Audit disclosed that the Municipality granted transportation allowance of ₱600.00 each to 150 members of the Municipal Electoral Boards assigned in the Municipality

totaling ₱90,000.00 for the attendance to Electoral Board (EB) Training on March 19 to 21, 2022 at Mabolo Eastland Hotel and Residences, Cebu City on March 14, 2022.

- 18.5 Scrutiny of documents revealed that the claim was supported with an obligation request prepared/certified by the former Municipal Administrator and certified by the Municipal Budget Officer as to availability of allotment entitling the payment of transportation allowance to the members of the Municipal Electoral Board. Also attached were the paid payroll and the disbursement voucher which was certified by the Municipal Accountant and former Municipal Treasurer and approved for payment by the former Municipal Mayor.
- 18.6 However, no legal basis or any COMELEC resolution citing that the said payment of allowances to the Electoral Boards shall be sourced from the LGU was attached to the claim. In the absence of such legal basis or specific COMELEC Resolution in connection with the May 9, 2022 NLE, it is presumed that the ESRA and Omnibus Election Code shall apply. Therefore, election related expenses should have been charged to the COMELEC.
- 18.7 The Municipal Budget Officer said that during that time, they were not aware if the members of the Electoral Boards have received any allowance from COMELEC. Further verification disclosed that there was no transfer of funds from the COMELEC to the Municipality for reimbursement of election expenses incurred. Also, no certificate of non-payment of allowance from the COMELEC Central Office Accountant was attached to the claim.
- 18.8 With the payment of the above allowance, LGU funds were not safeguarded against invalid claims which might result into financial injury on the part of the Municipality.
- 18.9 We recommended and Management agreed to strictly comply with the rules and regulations before the granting of any allowances. Further, we recommended that Management direct the persons accountable to cause the refund of the amount or the officials who authorized the payment thereof be held personally liable for the amount paid.**

Management's Comment:

- 18.10 The Management informed that majority of the members of the Municipal Electoral Boards had already refunded their share of allowances to the Municipal Treasurer's Office.

Auditor's Rejoinder:

- 18.11 The audit team shall continue to monitor this audit observation until Management has fully complied with the audit recommendation.

Insufficient supporting documents for TUPAD Program disbursements, - ₱12.215 million

19. The Municipality's disbursement for TUPAD Program amounting to ₱12.215 million was not sufficiently supported with documentary requirements contrary to the provisions of Department of Labor and Employment (DOLE) Department Order (DO) Nos. 173-17 and 219-20 and Presidential Decree (PD) No. 1445, thus, the propriety and validity of the disbursed transactions could not be ascertained and could deprive other individuals who may be eligible for the program undermining the state's objective of contributing to poverty reduction and helping the workers in the informal sector. [AOM No. 2023-009 (2022) dated February 8, 2023]

- 19.1 The Department of Labor and Employment (DOLE) DO Nos. 173-17 and 219-20 provides the guidelines for the Tulong Panghanapbuhay Para sa Ating Disadvantaged/Displaced Workers (TUPAD) Program or Emergency Employment Program, which is a community-based package of assistance that provides emergency employment for displaced workers, underemployed, and seasonal workers.
- 19.2 Article V of DO No. 219-20 states that services and assistance to be provided to eligible beneficiaries prior to the engagement in any TUPAD project includes, among others, the TUPAD ID to be provided by DOLE. Section 2 thereof also states that during implementation phase, should wages be paid thru cash-out/payout, the same should be directly claimed by the beneficiaries upon presentation of the TUPAD ID. If, for a valid reason, the beneficiary-workers will not be able to claim their wages, an authorization letter and a photocopy of the TUPAD ID of the beneficiary should be presented by the representative claimant, who must be an immediate family member, and a valid Government issued ID such as Postal, Barangay, Voter's ID and the like, should also be presented.
- 19.3 Moreover, PD No. 1445 states that claims against government funds shall be supported with complete documentation.
- 19.4 Audit of CY 2022 transactions revealed that the LGU received ₱12.215 million from DOLE Regional Office No. VII on November 3, 2022, intended for the TUPAD beneficiaries. With this, the Municipality had drawn cash advance in favor of the Disbursing Officer on November 8, 2022.
- 19.5 Post-audit of the liquidation report revealed that the total amount of cash advance was released to 1,872 individuals from the Municipality, receiving ₱6,525.00 each for a 15-day work from October 8 to 22, 2022. The following documents were submitted for audit:

Phases of Implementation	Requirements
Pre-implementation	1. Letter of intent 2. TUPAD Work Program 3. Summary List of Beneficiaries
	For LGU as ACP • Memorandum of Agreement • Oath of Undertaking of the TUPAD workers • Sangguniang Bayan (SB) Resolution authorizing the LCE to enter into a MOA to avail of DOLE program
During/Post-implementation	Certification from the LGU that the beneficiaries have performed the work under the TUPAD Program

- 19.6 However, no valid identification or TUPAD IDs were attached as supporting document for this transaction contrary to DOLE DO Nos. 173-17 and 219-20 and PD No. 1445.
- 19.7 Based on inquiry with the PESO Manager, the DOLE did not issue TUPAD IDs to the eligible beneficiaries. The Audit Team was further informed that the Municipality did not collect the valid IDs of the beneficiaries since they already had filled out the details in the form before they started to work and the same were presented during payout.
- 19.8 For verification/validation purposes, the beneficiaries reflected in the payroll should have presented or attached valid identification or their respective TUPAD IDs. It is necessary to determine that the signatures in the payroll match with their signatures on the ID. This audit procedure could not be done by the Audit Team due to the non-submission of this important document in order to establish their existence and eligibility to the program.
- 19.9 In effect, the implementation of the TUPAD Program of the DOLE by the LGU without complete documentation that would establish the propriety and validity of the transaction undermines the state's objectives of helping the workers in the informal sector particularly the self-employed with elementary occupations and unpaid familyworkers.
- 19.10 We recommended and Management agreed to submit valid justification for submitting incomplete documents to support the ₱12.215 million disbursement for the implementation of the TUPAD Program, and submit the required valid IDs per DOLE DO No. 219-20, for the Audit Team's validation. Henceforth, strictly ensure that the transactions of the LGU are supported with complete documentation that would ascertain its propriety and validity pursuant to PD No. 1445.**

OTHER MANDATORY AREAS

Compliance with Tax Laws

- 20.1 The Municipality of Dalaguete withheld taxes from salaries of its officials and employees as well as tax dues from suppliers/creditors and remitted on time in compliance with the provisions in the National Tax Revenue Code.

Compliance with Government Service Insurance System (GSIS) Act of 1997 (RA NO. 8291)

- 21.1 The Municipality of Dalaguete deducted from its officials and employees for GSIS premium contributions and remitted the same to the herein mentioned government agencies pursuant to R.A. 8291 otherwise known as the GSIS Act of 1997

Compliance with Property Insurance Law (RA NO. 656)

- 22.1 The Municipality of Dalaguete has insured its government property buildings and vehicles with the GSIS pursuant to RA No. 656, as amended by Presidential Decree No. 245.

Compliance with Home Development Mutual Fund (HDMF) Law OF 2009 (RA NO. 9769)

- 23.1 The Municipality of Dalaguete deducted from its officials and employees for HDMF premium contributions and remitted the same to the herein mentioned government agencies pursuant to RA NO. 9769 otherwise known as the HDMF Law of 2009.

Compliance with National Health Insurance Act of CY 2013 (RA NO. 7875 as amended by RA No. 9241 and 10606)

- 24.1 The Municipality of Dalaguete deducted from its officials and employees for PHIC premium contributions and remitted the same to the herein mentioned government agencies pursuant to RA No. 7875 As Amended by RA No. 9241 and 10606.

Gender and Development (GAD)

25.1 The formulation of the GAD Plan and Budget by the Municipality of Dalaguete is in accordance with the Joint Memorandum Circular (JMC) No. 2013-01 of the PCW-DILG-DBM and NEDA and COA Circular No. 2014-001 dated March 18, 2014.

25.2 In CY 2022, the Municipality appropriated for GAD amounting to ₱17.887 million and had reported utilization of ₱3.42 million or 19 per cent of the total GAD approved budget.

Compliance with the 1 per cent IRA Allocation for the Local Council for the Protection of Children (LCPC)

26.1 The Municipality of Dalaguete appropriated ₱6 million for the for the strengthening and implementation of the programs of Local Councils for the Protection of Children (LCPC) in compliance with Section 15 of R.A. No. 9344. Out of the said amount, only ₱46,700.00 was used for its programs and activities.

Compliance with the Provisions for Differently-Abled Persons and Senior Citizens (SCs)

27.1 The Municipality of Dalaguete has an appropriation of ₱1,430,000.00 for differently-abled persons with no reported utilization for CY 2022. On the other hand, the Municipality appropriated ₱2,059,890.00 SCs programs and activities with reported utilization of ₱360,886.00 during the year.

Compliance with Disclosure Policy

28.1 Evaluation of the agency's operations during the year disclosed that the management complied with the DILG Memorandum Circular No. 2011-134 dated September 19, 2011 by posting all the documents on a quarterly basis in publicly accessible and conspicuous places within the municipality.

**PART III -STATUS OF IMPLEMENTATION
OF PRIOR YEARS' AUDIT
RECOMMENDATIONS**

STATUS OF IMPLEMENTATION OF PRIOR YEARS' AUDIT RECOMMENDATIONS

Of the 31 audit recommendations in the prior year's Annual Audit Report (AAR), four were merged into two recommendations in view of the similarity of issues involved. Of the remaining 29 audit recommendations, 9 were fully implemented, 18 were partially-implemented and 2 were unimplemented as shown in the details presented below:

Reference	Observations	Recommendations	Status of Implementation
2021 AAR, AO No. 3, page 48	1. Completed projects undertaken by the Municipality of Dalaguete out from the various Fund Transfers of Barangays totaling ₱3,285,520.41 were recorded as Municipality's assets instead of the latter and remained unliquidated in the books contrary to Section 112 of PD No. 1445 and COA Circular No. 2016-005, thus overstating the Municipality's asset and liability accounts by the same amount.	The Municipal Mayor to require the Municipal Accountant to liquidate the fund transfers made from the various Barangays supported with complete documentations such as project completion report, certificate of turn-over and other pertinent documents as required under COA Circular 2012-001. Likewise, reverse the erroneous entry made amounting to ₱3,285,520.41 so as not to overstate the asset account, by taking up the following proposed adjusting journal entry (PAJE): Dr. Due to LGU ₱3,285,520.41 Cr. Motor Vehicle ₱660,000.00 Cr. CIP-Infrastructure 2,625,520.41	Implemented
2021 AAR AO No. 6, page 52	2. The Municipal Accountant did not set up Real Property Tax /Special Education Tax (RPT/SET) Receivables for CY 2021 due to non-submission by the Municipal Treasurer's Office (MTO) of certified list of taxpayers, indicating the amounts due and collectible for the year contrary to Section 20, Chapter 3, Volume I of the Manual on the NGAS.	The Management to direct the Treasury Department to take initiative in the preparation of the required reports as provided in Section 20 of the Manual on the NGAS so as to properly recognize the amount of Real Property and Special Education taxes to be collected during the applicable year. Likewise, prepare and submit the Summary of Real Property Tax Receivable to the Municipal Accountant at the start of the year or during the month of January.	Implemented

Reference	Observations	Recommendations	Status of Implementation
2021 AAR AO No. 7, page 53	3. Fund Transfer from the DA-RFO VII amounting to ₱20 million for the Establishment of One Unit Monolithic Dome Cold Storage and Packing Facility funded under the Bayanihan II remained unutilized and was not returned after the period of its validity contrary to Sections 1 and 4 of R.A. No. 11519, thus exposing the fund to unauthorized disbursements.	The Management to return the funds to the DA as the source agency pursuant to Bayanihan to Recover as One Act to avoid unauthorized disbursements or risk of misappropriation of the funds.	Implemented
2021 AAR AO No. 9, page 56	4. The Purchase Orders (PO) for the procurement of various goods aggregating ₱16,368,879.00 did not contain the terms and conditions, date received by the supplier, and other necessary data, contrary to Sections 74 and 113 of COA Circular No. 92-386 dated October 20, 1992, hence, the risk that deficiencies, if any, in the delivery of goods may not be promptly determined.	The Municipal Mayor to ensure that all contracts entered into by the government including Pos contain the terms and conditions and all necessary information as set forth in the rules and regulations on Supply and Property Management and other applicable issuances.	Implemented
2021 2019 AAR AO No. 10, page 57	5. Procurement of fuel and gasoline for the various projects aggregating ₱1,030,210.00 appeared to have been split into two requisitions to circumvent the requirement of public bidding and the inappropriate use of Shopping as the mode of procurement are contrary to the pertinent provisions of the 2016 Revised Implementing Rules and Regulations (IRR) of R.A. 9184.	The BAC Chairperson to submit an explanation on why the subject purchases appeared to have been split into smaller quantities and amounts to avoid public bidding; and proof that these are not splitting of government contracts. Henceforth, the BAC should use the direct retail purchase of POL products pursuant to Item 10 Section V of Annex H of the IRR as an alternative mode of procurement instead of shopping. The Direct retail purchase of the required POL products shall be carried out in	Implemented

Reference	Observations	Recommendations	Status of Implementation
		accordance with pertinent accounting principles and practices as well as of sound management and fiscal administration provided that they do not contravene existing laws and regulations applicable to financial transactions.	
2020 AAR AO No. 10, page 58	6. Cash-Local Treasury account showed a substantial undeposited balance of ₱39,916,410.04 as of December 31, 2020, in contrary to Section 69 of PD No. 1445, thereby exposing government funds to the risk of loss through theft and misappropriation and casts doubt on the accuracy of the balance.	The Municipal Treasurer to deposit immediately the above collections totaling ₱39,916,410.04 to prevent loss of government funds and furnish this Office with a copy of the deposit slip/s. The Municipal Accountant to submit the subsidiary ledger of the Cash-Local Treasury account for further review and analysis. Henceforth, deposit collections daily and intact with the Authorized Government Depository Bank (AGDB) pursuant to the above provisions.	Implemented
2020 AAR AO No. 3, page 44	7. Soft Loan granted by the Municipality to Casay Rural Waterworks and Sanitation Association, Inc. (CARWASAI) amounting to ₱350,000.00 funded from the DSWD's "GMA CARES" program for the purchase of 15 hp submersible motor pump were made despite non-compliance with the requirements enumerated under COA Circular No. 2007 001 while sanctions for non-payment thereof were not specified in the MOA, thereby propriety thereof is doubtful and prejudicing the interest of the government.	The Municipal Mayor and other officials concerned to submit a valid written explanation on noted deficiencies and the documents mentioned as lacking to prevent disallowance of the above transaction.	Implemented

Reference	Observations	Recommendations	Status of Implementation
2021 AAR AO No. 8, page 54	8. Cash Fund Transfers (CFTs) from various Barangays totaling ₱7,896,366.13 were made despite the absence of the MOA and the amount of cash transfers did not reconcile with the Municipality's accounting records of ₱8,711,786.01 or a difference of ₱815,419.88 contrary to COA Circular Nos. 94-013 and 2016-005 dated December 13, 1994 and December 19, 2016, respectively.	The Municipal Accountant to trace the cause of the variance and make the necessary adjustments to reflect the correct amount in both books. Likewise, periodically reconcile both books of accounts of the Barangays and the Municipality especially the unliquidated CFTs so that proper reporting of funds could be achieved. The Municipal Mayor to direct the Municipal Administrator to require a MOA for all of the Barangay fund transfers entered into.	Implemented
2021 AAR AO No. 12, page 62	9. The Municipality disbursed a total of ₱1,549,173.40 for cash assistance to various individuals seeking medical, burial, and other forms of assistance under the program "Assistance to Individuals in Crisis Situation (AICS)" without clear cut guidelines established by the LGU for the implementation of said program, hence, may result in unequal distribution of amount to the beneficiaries.	The Management to establish clear cut guidelines, concurred by the Sangguniang Bayan, on the grant of AICS such as the qualification of indigent, amount and frequency of assistance, documentary requirements, and the like, which shall align with the DSWD Memorandum Circular No. 11, series of 2019.	Implemented
2021 AAR AO No. 1, page 44	10. The reported balances of Property, Plant and Equipment (PPE) accounts totaling ₱599,238,868.22 (at cost) are unreliable due to the non-submission of the Report on the Physical Count of PPE (RCPPE) as no physical inventory taking was conducted, and the property cards and property ledger cards were not maintained by the agency contrary to the provisions of the Manual on	The Municipal Mayor to: a. Direct the Property Officer to conduct the physical count of PPE as of December 31, 2021, render the report thereon and provide a copy of the report to the Audit Team pursuant to Section 124, Volume 1 of the Manual on the NGAS for LGUs; b. Direct the Municipal Treasurer and/or Property and Supplier Officer to maintain property cards and the	Partially Implemented The Management has submitted the RCPPE but with unreconciled balances noted as reiterated in Part II of this Report.

Reference	Observations	Recommendations	Status of Implementation
	the New Government Accounting System (NGAS) for Local Government Units (LGUs) and International Public Sector Accounting Standards (IPSAS) 1.	Accounting Office for the Property Ledger Card for monitoring and reconciliation; and c. Carry out the procedures prescribed in COA Circular 2020-006 dated January 31, 2020 in order to present the correct balances of the PPE accounts.	
2021 AAR AO No. 2, page 46	11. Existence, accuracy and reliability of the recorded balance of the Inventories totaling ₱14,330,699.43 could not be determined due to the non-submission of the Report of Physical Count of Inventories (RPCI) as no inventory taking was conducted, and the non-maintenance of the stock cards and supplies ledger cards contrary to the Manual on the NGAS for LGU and IPSAS 1.	The Management to require the GSO to conduct the physical count of inventory items by type and to prepare the RPCI and submit the same to the Audit Team. Also, direct the Supply Officer to maintain stock cards and the Accounting Office to maintain the supplies ledger cards for monitoring and reconciliation purposes.	Partially Implemented The Management has submitted the RPCI, however it was delayed and unreconciled differences were still noted between the report and committee's recorded balances.
2021 2019 AAR AO No. 4, page 49	12. Balances of intra-agency accounts, Due from Other Funds did not reconcile with its reciprocal account Due to Other Funds resulting in a difference of ₱267,770.15, thus casting doubt on the reliability and accuracy of the amounts presented in the FS.	The Municipal Accountant to trace the inclusions in the reciprocal accounts and examine if it is necessary to remain as an Intra-Agency Receivable or as an Intra-Agency Payable, and make the necessary adjustments if needed to be able to reflect a correct and accurate report.	Partially Implemented The Audit Team noted that the intra-agency accounts are still unreconciled as reiterated in Part II of this Report.
2021 AAR AO No. 5, page 50	13. The Due from Non-Government Organizations (NGO)/ People's Organizations (PO) account amounting to ₱414,650.97 have become dormant for more than ten years contrary to COA Circular 2016-005 dated December 19, 2016. Moreover, the doubtful	The Municipal Mayor to direct the Municipal Accountant to send demand letters to the NGOs/POs grantee and exhaust all the remedies for the full settlement of their accounts. Otherwise, if collection and settlement of the accounts can no longer be achieved, the Management should initiate a	Partially Implemented Reiterated in Part II of this Report.

Reference	Observations	Recommendations	Status of Implementation
	collectability of these receivables rendered the account unreliable contrary to IPSAS No. 1.	request for the write-off of the receivables supported with documents required under COA Circular 2016-005 dated December 19, 2016.	
2021 AAR AO No. 13, page 63	14. The Municipality did not withhold taxes from the payments totaling ₱8,435,165.00 to a supplier of goods as required in BIR RMO No. 23-2014 and Section 4.114 of RR No. 02-98, thus depriving the government of additional income that could have been derived therefrom and which may subject the concerned officials to penalty/surcharges as provided therein.	The Management to direct the Municipal Accountant to send letter of inquiry to the BIR on the proper remedy for the refund of the erroneous tax withheld and remitted in CY 2020 to the latter instead of offsetting/netting from the supplier's supposed tax due, which was withheld from payment on the sale of goods in the CY 2021 transactions. Henceforth, strict compliance with pertinent laws, rules and regulations on withholding and remittance of taxes be observed.	Partially Implemented The Accountant has now strictly followed BIR RMO No. 23-2014 and Section 4.114 of RR No. 02-98 in the withholding of taxes from government payments. However, the Audit Team still has not received a copy of letter of inquiry to the BIR.
2020 2019 2010 AAR AO No. 9, page 56	15. Financial Statements (FS) and related accounting reports for CY 2019 were not submitted within the prescribed period, which violated pertinent provisions of COA Circular No. 2010-001 and Section 122 of PD No. 1445, preventing the timely audit of transactions and accounts.	The Municipal Accountant to submit the FS and Reports enumerated under Sections 2 and 4 of COA Circular No. 2010-001 and its supporting schedules as well as a valid written justification on his repeated failure to submit on time the said reports to prevent the withholding of his salary pursuant to Section 111 (par. 2) of PD No. 1445.	Partially Implemented Although the Municipal Accountant submitted its FS for CY 2022, it was still delayed.
2020 AAR AO No. 8, page 53	16. Procurement of goods for distribution as food assistance during COVID-19 pandemic totaling ₱6,699,400.00 out of the Financial Assistance (FA) from the Cebu Provincial Government (CPG) were not posted, for information purposes; was not in	The Municipal Mayor and the BAC Chairperson to submit a written valid explanation on the non-issuance/non-posting of the Notice of Award (NOA) and its non-conformity with the specifications as well as the documents mentioned as lacking such as the Inspection and	Partially Implemented Management already observed the proper accounting and issuance of goods

Reference	Observations	Recommendations	Status of Implementation
	accordance with specifications; lacked sufficient documentation; and were charged directly to Other Maintenance and Operating Expenses (OMOE), instead of as Inventory, in violation of Section 54.3 of the 2016 Revised IRR of R.A. No. 9184 and pertinent provisions of the Government Accounting Manual (GAM), making the disbursements irregular and misstating the affected accounts as of a specific period.	Acceptance Report (IAR), Report on Supplies and Materials Issued (RSMI) or duly signed distribution list, Request for Quotation, Notice of Award and Official Receipt/ Delivery Receipt (O.R./D.R.) to support delivery of 92 boxes canned goods, to prevent disallowance in audit.	for distribution. However, documents mentioned as lacking were not submitted yet for evaluation.
2020 AAR AO No. 11, page 59	17. Operating Lease Receivables of undetermined value were not recorded in the books due to the non-submission of the List of Stallholders with unpaid accounts, in violation of Section 112 of PD No. 1445, thereby understating assets and possible income accounts.	The Municipal Mayor to require the submission of the List of Stallholders with unpaid accounts and their respective Contracts to the Municipal Accountant for recording in the books, copy-furnished this Office.	Partially Implemented Per verification, the submitted report did not disclose how much was the unpaid accounts so that it can be recorded in the books.
2019 AAR AO No. 6, page 49	18. Documents that should have supported the payment made to WJC Construction and Development Corporation for the Enhancement of Water System under DILG –Bottoms-Up-Budgeting (BUB) Sagana at Ligas na Tubig (SALINTUBIG) amounting to ₱1,789,654.59 were either absent or deficient, contrary to the pertinent provisions of R.A. No. 9184 and Section 86 of PD No. 1445 which may give the impression that the	The BAC to submit a valid explanation with regards to the deficiencies observed and the lacking documents mentioned above. Prospectively, the BAC should enhance/update their skills by attending necessary trainings on IRR of R.A. No. 9184 to ensure that the Procuring Entity abides with the standards set forth in the existing procurement regulations to protect the interest of the Government and to avoid suspension or disallowance.	Partially Implemented An explanation letter was submitted by the BAC Chairperson but not the required lacking documents such as the PhilGEPS print out, original copy of the Program of Work, letter of Invitation for observers duly signed by recipient

Reference	Observations	Recommendations	Status of Implementation
	contract was awarded to a favored supplier and/or the Municipality was not able to avail of the price most advantageous to it and the benefits that could be derived therefrom.		and the attendance sheet.
2019 AAR AO No. 17, page 70	19. Contract for the “Negotiated Purchase” of five units Heavy Equipment for DRRM costing ₱39,875,000.00 were tailored-made to a particular brand and supporting documents were either absent or deficient, in violation of the pertinent provisions of the 2016 Revised IRR of R.A. No. 9184, Sections 4 (6) of PD No. 1445 and 369 of R.A. No. 7160, which casts doubt on the validity of the transactions and which could have prejudiced the interest of the government.	The BAC to submit a valid explanation in regards to the deficiencies observed and the lacking documents mentioned above to prevent suspension or disallowance in audit.	Partially Implemented The BAC Chairperson submitted an explanation letter but the lacking documents were not received by the Audit Team.
2018 AAR AO No. 1, page 40	20. Five Contracts for Infrastructure Projects procured from E.G and I Construction Corporation, of which four were made through Negotiated Procurements, funded under the Local Government Support Fund-Assistance to Disadvantage Municipalities (LGSF-ADM) and Salintubig aggregating ₱17,317,138.49 were deemed irregular since it did not follow various provisions of the Revised IRR of R.A. No. 9184 and Section 86 of PD No. 1445, which casts doubt on the validity of the transactions and which could have prejudiced the interest of the government.	The BAC to submit a valid explanation with regards to the deficiencies observed and the lacking documents mentioned above. Prospectively, the BAC should enhance/update their skills by attending necessary trainings on IRR of R.A. No. 9184 to ensure that the Procuring Entity abides with the standards set forth in the existing procurement regulations to protect the interest of the Government and to avoid suspension or disallowance.	Partially Implemented The Management still was not able to submit the documents which were deemed lacking in audit like the attendance sheets on the Minutes of Meetings conducted.

Reference	Observations	Recommendations	Status of Implementation
2018 AAR AO No. 5, page 52	21. Management included in its Annual Budget a “Non-Office Expenditures” of ₱21,952,400.00 with no specific purpose while the utilization of its budget was not properly monitored, which violated Section 305 of R.A. No. 7160, resulting in the irregular disbursements of government funds and in the incurrence of items of expenditures that were in excess of or without approved appropriations totaling ₱33,210,651.64.	The Management to submit a copy of any supplemental budget, if there was, to prevent disallowance of the incurred overdraft; and ensure that budgeted amounts are specifically identified as to projects or activities to be undertaken for proper monitoring of funds or disbursements.	Partially Implemented The ₱21,952,400.00 had been traced, however, the remaining excess expenditures or those without appropriations totaling ₱26,851,845.89 have not been fully justified by the former Budget Officer despite the submission of the CY 2018 Supplemental Budget.
2018 AAR AO No. 8, page 58	22. Funds received for specific purposes totaling ₱19,300,133.49 were recorded under the General Fund (GF), instead of under the Trust Fund (TF), while economic enterprises operated by the Municipality have no special accounts in the GF and not all income-generating activities were reported, in violation of certain provisions of COA Circular No. 92-382, which misstated the Cash In Bank balance and casts doubt on the propriety of reported income.	The Municipal Accountant to transfer all recorded funds received which have specific purposes from the GF to TF totaling ₱19,300,133.49 and to maintain special accounts in the GF for all economic enterprises operated by the Municipality and prepare a separate financial statement thereof, pursuant to Sections 63 and 65 of COA Circular No. 92-382 for proper monitoring of fund utilization and liquidations.	Partially Implemented The Municipal Accountant had transferred some of the funds received for specific purposes to the TF. However, economic enterprises operated by the Municipality still have no special accounts in the GF and not all income-generating activities have been reported like the Lease operations of the Municipality.

Reference	Observations	Recommendations	Status of Implementation
2017 AAR AO No. 6, page 51	23. Expenditures charged to the BUB Funds for the Construction of Dalaguete Agri-Pinoy Trading Center (DAPTC) totaling ₱1,577,700.42 were not aligned with the pertinent provisions of COA Circular No. 94-013 dated December 13, 1994, making the disbursements irregular.	The Management to submit the Specific Instruction Agreement (SIA) and the approved request for realignment, if any, to ascertain the propriety of the expenditures charged to the DAPTC funds to prevent disallowance in audit. Instruct the Accountant to reclassify the entries made for sound system and handheld radios to its proper account. Submit also NTC License for the handheld radios.	Partially Implemented The Municipal Accountant submitted the Journal Entry Vouchers taking up the reclassification entries on the procured sound system and handheld radios. SIA and/or the approved request for realignment were not yet submitted.
2015 AAR AO No. 5, page 41	24. The Municipal Accountant failed to withhold taxes due the government from the seller of the lot at Mantalongon, Dalaguete, which the Municipality purchased in 2015 at ₱5,373,000.00, in violation of Revenue Memorandum Order No. 23-2014 dated June 20, 2014.	The Municipal Mayor, the Accountant and the Treasurer to collect from the heirs of the late Fidel Rodrigo the amount of ₱322,380.00 representing undeducted withholding taxes from the purchase of lot from the latter and remit the same to the Bureau of Internal Revenue pursuant to the above regulations.	Partially Implemented The Accountant sent demand letter to the seller of the lot and is awaiting the result thereof. Per inquiry with the Municipal Accountant there is no tax collected, yet.
2014 AAR AO No. 2, page 26	25. Soft loan extended to the Municipal Government of Dalaguete (MGD) from the President's Social Fund (PSF) amounting to ₱1,000,000.00, with an interest of six per cent per annum, on January 29, 2003 was reclassified to Loans Payable Domestic (444) in 2007. However, it remains unpaid as of December 31, 2014 which may incur an interest expense	The Management to give an explanation on what has been done with the Office of the President as regards this Loans Payable of ₱1,000,000.00 because, per demand letter on November 22, 2007 from the Office of the President, the MGD has a payable to the Office of the President and will be incurring an interest expense of six per cent per annum, whether it was utilized or not utilized.	Partially Implemented This is reiterated in Part II of this Report

Reference	Observations	Recommendations	Status of Implementation
	for the municipality.	Likewise, the Sangguniang Bayan to be informed of this liability in as much as this was incurred 11 years ago so that funds could be allocated for such amount.	
2014 AAR AO No. 3, page 27	26. Financial Assistance from the Provincial Government of Cebu in February 2010 for the Disposal of Garbage and Waste Enforcement for Nature (D'GWEN) Program, amounting to ₱495,000.00, has remained unutilized as of December 31, 2014, thus depriving the constituents from the benefits it could have derived from the program.	The Management to return the amount of the ₱495,000 to the Provincial Government of Cebu since it has remained unutilized for the D'GWEN Program. Or, the Municipal Government may request for realignment of such funds received so that they could utilize it for important infrastructure projects of the LGU that could benefit the town's constituents.	Partially Implemented The D'GWEN fund was still not returned by the Municipality.
2009 AAR	27. Weak internal control over cash collections resulted to the loss of government fund thru falsification of documents.	The Municipal Mayor to determine the employees involved in this fraudulent act. Institute proper legal action to recover the unremitted collections amounting to ₱52,551.07; stop the practice of allowing a non-permanent employee to collect taxes and see to it that all accountable officers must be bonded and install effective internal control over collection procedures to deter collectors from committing fraudulent acts, thus, protecting government funds.	Partially Implemented The Management has not instituted a request for write-off yet.
2021 AAR AO No. 11, page 60	28. Disturbance fees totaling ₱170,000.00 were paid to individuals sourced from the 20% DF to give way for the Construction of Monolithic Home Chilled Storage for Fruits and Vegetables with Packing Facility despite the lack of supporting documents	The Management to submit justification on why payments were made despite the absence of Sangguniang Bayan resolution and MOA; and legal basis of the transaction.	Unimplemented The Audit Team has not received supporting documents from the Management.

Reference	Observations	Recommendations	Status of Implementation
	and legal basis contrary to Section 4 of PD No. 1445, and pertinent provisions of R.A. No. 7279, rendering the disbursements irregular.		
2015 AAR AO No. 8, page 46	29. The Inventory and Inspection Report of Unserviceable Properties (IIRUP) submitted by Management to support its request for disposal of fully-depreciated, obsolete and unserviceable PPE totaling ₱14,824,876.71 lacked property identification number and other important data of the properties to be inspected, thus preventing the proper inspection and validation thereof.	The Inventory committee, or the Asset Inventory Team headed by the Municipal Treasurer, to provide property identification numbers (PIN) and other important data for the unserviceable properties requested for disposal totaling ₱14,824,876.71 to facilitate its inspection and validation prior to its disposal.	Unimplemented The Management has not submitted yet the IIRUP for inspection of said properties by COA.

PART IV-ANNEXES

ANNEX A – Schedule of Road Networks for All Funds (at Cost)

ANNEX B – Schedule of Prior Year Balances of CIP-Building and Other Structures

ANNEX C – Schedule of Real Property Tax (RPT) Receivable and Special Education Tax (SET) Receivable accounts

ANNEX D – Schedule of Cash Advances in excess of the DO's maximum cash accountability

ANNEX E – Schedule of Unimplemented Project Funded from the Continuing Appropriations of the 20 per cent Development Fund

ANNEX F – Financial Statements-General Fund

- Statement of Financial Position
- Statement of Financial Performance
- Statement of Government Equity
- Statement of Cash Flows

ANNEX G - Financial Statements-Special Education Fund

- Statement of Financial Position
- Statement of Financial Performance
- Statement of Government Equity
- Statement of Cash Flows

ANNEX H - Financial Statements-Trust Fund

- Statement of Financial Position
- Statement of Financial Performance
- Statement of Cash Flows

Municipality of Dalaguete
Schedule of Road Networks All Funds (at Cost)
As at December 31, 2022

Code	Description	Amount
Group Name :	10703010-001 OPENING/CONCRETING	
10703010-001-0015	Local Access Road-Rehabilitation/Improvement -Rizal street	₱7,168,436.64
10703010-001-0014	Local Access Road in Barangay Caleriohan - Local Road Opening	5,000,000.00
10703010-001-0013	Local Access Road Upgrading from Sitio Tubod, Obong (LGSF-AM)	4,333,166.88
10703010-001-0009B	Local Access Road in Cambanog, Balud (LGSF for Disadvantage Municipalities - DILG Funds)	4,227,004.42
10703010-001-0011	Local Core Road Caliongan	4,000,000.00
10703010-001-0001	Farm to Market Road Concreting-Cansusi Tapon	3,283,756.52
10703010-001-0005	Farm to Market Road Brgy. Dumalan- Trust Fund	3,165,037.96
10703010-001-0004	Access Road to Landing Point for Fishermen(Casay)- Trust fund	2,998,038.31
10703010-001-0016	Local Access Road in Consolacion - Obong (LGSF-ADM)	2,798,854.20
10703010-001-0008	Local Core Road-Dumalan	2,634,270.77
10703010-001-0010B	Local Access Road in Poblacion (LGSF Assistance to Disadvantage Municipalities - DILG Fund)	2,176,889.64
10703010-001-0012	Local Access Road in Manangal (LGSF-ADM)	1,774,000.00
10703010-001-0002A	Opening/concreting of Suwa Barangay Road	1,129,627.82
10703010-001-0007	Local Core Road-Lapa Mantalongon	928,310.76
10703010-001-0006	Local Core Road-Catolohan	905,725.84
10703010-001-0004A	Access Road to Landing Point for Fisherman in Casay	670,001.15
10703010-001-0005-B	Concreting of Brgy. Dumalan Farm to Market Road	523,943.98
10703010-001-0021	Poblacion Relocation Road Section	227,181.85
10703010-001-0020	Sampig Road Surfacing	223,168.30
10703010-001-0005-A	Farm to Market Road (Dumalan)	217,554.85
10703010-001-0017	Panaguikan Road Opening	213,957.76
10703010-001-0003	Concreting & Improvement of Sto. Rosario St. at Poblacion, Dalaguete, Cebu (FA Prov. of Cebu)	200,000.00
10703010-001-0018	Bulalacao Mantalongon Road	171,500.00
10703010-001-0003A	Concreting of Sto. Rosario St. at Poblacion	53,307.24
10703010-001-0009-C	Local Access Road in Cambanog Balud, Dalaguete, Cebu under DILG-ADM Projects	41,191.20
10703010-001-0019	Maloray Road Slide Repair	22,290.00
10703010-001-0009-D	Local Access Road in Cambanog Balud, Dalaguete, Cebu under DILG-ADM Projects-D	14,060.80
10703010-001-0017-A	Panaguikan Road Opening(3 M Wide And 120 M Length – A	3,437.08
10703010-001-0002	Road Opening of Suwa Barangay Road	600.00
	Subtotal	₱49,105,313.97

Code	Description	Amount
Group Name :	10703010-999 FROM REGISTRY OF OTHER PUBLIC INFRA	
10703010-999-R-0041	Paling-paling diversion road – A	₱12,546,289.51
10703010-999-R-0040	Mantalongon roads rehabilitation–project - Lapa, Lahug & Sta. Cruz	1,701,818.19
10703010-999-R-0036	Construction –f Roads - Poblacion PDAF	1,623,106.17
10703010-999-R-0035	Construction –f Roads - Alang-Alang Mantalongon - PDAF – A	1,084,288.81
10703010-999-R-0001	Asphalting of San Guillermo Street	1,002,810.90
10703010-999-R-0033	Concreting of Poblacion-Jolomaynon-Balud Farm to Market Road	877,500.00
10703010-999-R-0038	Legaspi Street road improvement with asphalt overlay	475,000.00
10703010-999-R-0008	Concreting and improvement of Caliongan barangay road	291,794.65
10703010-999-R-0039	Mantalongon - Dugyan Provincial road	281,840.00
10703010-999-R-0035-A	Concreting and Improvement of Brgy. Alang-alang Road	277,368.76
10703010-999-R-0030	Concreting and improvement of Tapon barangay road	269,561.80
10703010-999-0016-A	Concreting and improvement of Gen. Luna Street-A	250,512.55
10703010-999-R-0013	Concreting and improvement of Coro barangay road	243,408.90
10703010-999-R-0045	Sto. Rosario Street rehabilitation	228,197.93
10703010-999-R-0026-A	Concreting and improvement of Obo barangay road-A	225,057.30
10703010-999-R-0024	Concreting and improvement of Mantalongon barangay road	221,053.61
10703010-999-R-0032	Concreting of M L Quezon Street	216,269.03
10703010-999-R-0079	Concreting and Improvement of Brgy Road (Mayor Condrada Almagro St.)	199,819.26
10703010-999-R-0017	Concreting and improvement of Jolomaynon barangay road	194,293.96
10703010-999-R-0042	Rizal Street road rehabilitation	182,682.72
10703010-999-R-0044	Sitio Lapa access road and trail to Osmeña peak	173,568.76
10703010-999-R-0022	Concreting and improvement of Manangal barangay road	169,553.19
10703010-999-R-0010	Concreting and improvement of Catolohan barangay road	166,415.82
10703010-999-R-0006	Concreting and improvement of Bulak barangay road	154,371.08
10703010-999-R-0007	Concreting and improvement of Caleriohan barangay road	149,029.43
10703010-999-R-0026	Concreting and improvement of Obo barangay road	142,137.28
10703010-999-R-0014	Concreting and improvement of Dugyan barangay road	130,172.00
10703010-999-R-0029	Concreting and improvement of Salug barangay road	115,193.19
10703010-999-R-0023	Concreting and improvement of Manlapay barangay road	114,218.29
10703010-999-0008-A	Concreting and improvement of Caliongan barangay road -A	107,480.48
10703010-999-R-0046	Tuba road opening project	107,440.00
10703010-999-R-0027	Concreting and improvement of Obong barangay road	97,856.63

Code	Description	Amount
10703010-999-R-0018	Concreting and Improvement of Langkas barangay road	97,290.52
10703010-999-R-0015	Concreting and improvement of Dumalan barangay road	92,711.57
10703010-999-R-0043	Sandalo Street road repair and improvement	90,817.75
10703010-999-R-0034	Concreting of Tapon Solong-on Barangay Road	88,826.03
10703010-999-R-0019	Concreting and improvement of Lumbang barangay road	88,506.20
10703010-999-R-0078	Concreting and Improvement of Tabon Brgy Roads	87,105.51
10703010-999-R-0005	Concreting and improvement of Banhigan barangay road	83,113.46
10703010-999-R-0003	Concreting and improvement of Babayongan barangay road	82,916.15
10703010-999-R-0028	Concreting and improvement of Pañas barangay road	76,345.74
10703010-999-R-0031	Concreting and improvement of Tuba barangay road	70,447.27
10703010-999-R-0020	Concreting and improvement of Malones barangay road	67,195.18
10703010-999-R-0021	Concreting and improvement of Maloray barangay road	66,057.03
10703010-999-R-0009	Concreting and improvement of Casay barangay road	63,938.70
10703010-999-R-0012	Concreting and improvement of Consolacion barangay road	61,899.24
10703010-999-R-0004	Concreting and improvement of Balud barangay road	58,383.12
10703010-999-R-0037	Hungaw Caliongan Road Concreting	56,150.00
10703010-999-R-0002	Concreting and improvement of Ablayan barangay road	49,925.98
10703010-999-R-0016	Concreting and improvement of Gen. Luna Street	37,011.53
10703010-999-R-0011	Concreting and Improvement of Cawayan barangay road	28,589.07
10703010-999-R-0079-A	Concreting and Improvement of Brgy Road (Mayor Condrada Almagro St.)-A	15,817.50
10703010-999-R-0025	Concreting and improvement of Nalhub barangay road	14,042.65
	Subtotal	₱25,397,200.40
	Grand Total	₱74,502,514.37

Municipality of Dalaguete
Schedule of Prior Year Balances of CIP-Building and Other Structures
CY 2022

SL Name	Amount	Date Booked (From/To)	
Dalaguete Socialized Housing Project	₱769,862.42	Prior CY 2017	Prior CY 2017
Proposed Construction of Wastewater Treatment Facility	162,500.00	Prior CY 2017	Prior CY 2017
Construction Manlapay Community Center Bldg.	100,766.09	Prior CY 2017	Prior CY 2017
Slope Protection Construction at Caleriohan	97,321.33	Prior CY 2017	Prior CY 2017
Construction of Amonsao Provincial School Bldg.	92,001.30	Prior CY 2017	Prior CY 2017
Greenhouse (5 units repair, 3 units installation)	77,873.93	Prior CY 2017	Prior CY 2017
Construction of School Stage at Sampig, Mantalongon	63,060.20	Prior CY 2017	Prior CY 2017
Bulak Multi-Purpose Building (Farmers' Function Room and Rice Stockroom)	58,660.00	Prior CY 2017	Prior CY 2017
Poblacion Slope Protection (Near Tbern's)	44,616.56	Prior CY 2017	Prior CY 2017
Construction of Tennis Court	1,751.88	Prior CY 2017	Prior CY 2017
	₱1,468,413.71		
Rehabilitation of Old Municipal Bldg. (Phase III)	₱2,543,475.76	Prior CY 2017	8/4/2017
Construction of Wi-Fi Tower per POW# MEO-2016-03-041	293,935.50	Prior CY 2017	11/6/2017
Construction of Police Impounding Warehouse	154,274.86	5/31/2017	12/30/2017
Old Municipal Bldg. Renovation	135,087.99	Prior CY 2017	9/19/2017
Construction of Women Crisis Center	93,719.04	Prior CY 2017	2/13/2017
Old Municipal Building Renovation	78,596.25	9/30/2017	10/20/2017
	₱3,299,089.40		
Cambanog Balud Waterworks System	₱404,840.00	12/28/2018	12/28/2018
Improvement of Lighting System @ Reclamation Area	193,632.20	12/28/2018	12/28/2018
Proposed Construction of 1 unit - 2 Classroom School Bldg. at Amonsao ES	189,860.70	Prior CY 2017	6/11/2018
Lugsangan Peak Comfort Room Construction	178,454.76	7/31/2018	12/17/2018
Repair of Makeshift Room at Amonsao ES	104,820.38	12/30/2017	7/20/2018
Tuba Waterworks Enhancement	77,634.00	Prior CY 2017	12/3/2018
Proposed Const. of 1 unit - 2 classroom School Bldg. at Amonsao ES	68,000.00	1/31/2018	3/20/2018
Manlapay Slope Protection	53,986.80	10/16/2018	10/16/2018
Construction of Two Storey Classroom Building-Manangal	44,352.00	4/5/2018	4/5/2018
	₱1,315,580.84		
Construction of 1-unit 3 classroom School Bldg. at Maloray Elem School	₱1,593,106.65	6/19/2019	12/27/2019
Construction of 1-unit 3 classroom School Bldg. at Maloray Elem School	937,950.00	8/28/2019	12/3/2019

SL Name	Amount	Date Booked (From/To)	
Proposed one storey classroom building at Sitio Lingatong, Caleriohan	442,341.90	12/28/2018	12/27/2019
Maloray Water Transmission Line Installation	396,086.58	7/19/2017	11/22/2019
Construction of Bandera Peak Wi-Fi Tower (Dumalan)	380,381.03	8/1/2018	12/30/2019
Construction of Caleriohan Barangay Health Station	291,772.30	6/20/2019	12/28/2019
Public Market Pavement Concreting	284,090.21	4/30/2019	12/30/2019
Tapon Open Canal Construction	231,529.90	6/10/2019	12/30/2019
Construction of Vending Extension Building – SICC	225,537.22	1/10/2018	6/14/2019
Dalaguete Firing Facility	193,060.32	1/3/2019	6/24/2019
Improvement of Caliongan Elem. School	183,339.93	11/30/2018	12/30/2019
Rehabilitation of Socialized Vending Area	176,377.18	3/30/2019	11/12/2019
Construction of Mantalongon Monument Plaza	130,528.98	5/30/2019	12/30/2019
Construction of Comfort Rooms and Waiting Shed (Dreamland)	128,405.50	10/31/2019	12/27/2019
Construction of Guardhouse in Balud Marine Protected Area	110,725.66	6/27/2018	3/7/2019
Construction of Dalaguete Police Extension Cell	103,859.50	7/5/2019	7/5/2019
Construction of Caleriohan Public Market	99,133.64	3/25/2019	12/30/2019
Pavement Concreting on Sports Complex (Left Side)	91,536.91	10/18/2019	12/27/2019
Construction of 1-unit Classroom (Lingatong ES)	83,640.00	11/20/2018	3/20/2019
Construction of Covered Court in Balud Phase II	72,887.00	12/21/2018	8/5/2019
Const. of 1 Unit 3 classroom school Building at Maloray	62,750.00	6/20/2019	8/5/2019
Renovation of Dalaguete Public Market	15,000.00	3/31/2019	3/31/2019
	₱6,234,040.41		
Renovation and Rehabilitation of Casa Real Phase 1	₱13,192,793.05	8/21/2017	12/29/2020
Construction of Mt. Talongon Flower Garden	1,035,141.90	7/9/2018	11/4/2020
Mantalongon Streetlighting System	611,576.17	12/28/2018	12/1/2020
Construction of Comfort Rooms in Mantalongon	391,830.75	Prior CY 2017	12/29/2020
Construction of Sanitary Landfill	310,322.12	Prior CY 2017	11/4/2020
Enhancement of Site Dev't of Dalaguete Tramline Project	248,719.22	Prior CY 2017	11/30/2020
Construction of Housing Warehouse at Cansaroy, Tapon	238,841.42	4/30/2018	12/29/2020
Completion of Alternative Learning System	200,487.50	3/30/2019	1/15/2020
Refurbish of Police Station (Old RHU I)	194,121.20	Prior CY 2017	12/9/2020
Construction of Tourist Information Center – DOT	192,531.88	8/17/2020	10/16/2020

SL Name	Amount	Date Booked (From/To)	
Casay - Installation of 40 Streetlight (Bolocaue to Angas Chapel)	188,559.00	9/16/2020	10/20/2020
Mag-alambak to Obo Water Dev't Project (Phase I)	182,962.00	Prior CY 2017	12/2/2020
Enhancement of Dalaguete Commercial Center Comfort Room	175,039.09	1/20/2020	3/16/2020
Fabrication of Collapsible Tents for Relocation of Stalls for Food lane	173,454.50	12/29/2020	12/29/2020
Amonsao Waterworks System	162,129.00	2/28/2018	9/30/2020
Reclamation Road Section Concreting	127,369.87	12/20/2018	1/14/2020
San Isidro Community Center (SICC)	99,250.00	4/30/2019	1/20/2020
Construction of Motorpool Open Shed	91,129.00	2/14/2020	3/31/2020
Installation of Caliongan-Jolmaynon Water Pump Electrical Power Supply	80,634.15	12/16/2020	12/30/2020
MPM Concrete Pavement of Garbage Depository Area, Painting Works, etc. & DCC Market Repairs and Main	74,745.00	11/29/2017	1/20/2020
Fabrication of Fiberglass Patrol Boat	53,555.00	8/3/2017	7/17/2020
Proposed Admin Office at Mantalongon Public Market	50,178.70	7/22/2020	7/22/2020
Provision of Potable Water Supply – Catolohan	27,440.00	4/30/2020	4/30/2020
	₱18,102,810.52		
Renovation and Restoration of Casa Real Phase IV	₱4,169,435.64	6/11/2018	9/6/2021
Construction of Halfway House	1,617,094.12	10/10/2019	12/30/2021
Dalaguete Street Lighting Project	529,659.50	Prior CY 2017	7/29/2021
Enhancement of Packaging House	412,661.48	9/16/2020	8/24/2021
Reconstruction of STAR Center Welding Laboratory	299,803.20	12/29/2020	5/17/2021
Sitio Gabi Caleriohan Footpath	231,430.00	4/30/2021	6/17/2021
Construction of WIFI Tower at Evacuation Center	217,736.96	3/3/2021	6/20/2021
Sitio Regla Salug Footpath Concreting	217,525.50	4/30/2021	7/30/2021
Construction of Rice mill Building in Brgy Salug	172,760.40	6/25/2020	4/30/2021
Impounding Area Perimeter Fence Construction	130,522.19	12/17/2021	12/30/2021
Cambarco, Lanao Reservoir Construction (Lanao Water Works)	70,498.00	10/23/2020	10/22/2021
Establishment of Dog Shelter	55,267.00	4/19/2021	5/20/2021
Construction of Materials Recovery & Composting Facility	54,776.25	1/14/2020	10/5/2021
Provision of Potable Water Supply – Nalhub	50,746.25	5/10/2019	6/30/2021
Mantalongon Water Tank Area Perimeter Fence	(15,460.00)	12/31/2021	12/31/2021
	₱8,214,456.49		
Grand Total	₱38,634,391.37		

Municipality of Dalaguete
Schedule of Real Property Tax (RPT) Receivable and Special Education Tax (SET)
Receivable accounts
As at December 31, 2022

	RPT			SET		
	Per ETRACS	Per SL	Difference	Per ETRACS	Per SL	Difference
POBLACION	1,529,479.70	1,537,044.40	7,564.70	1,529,479.70	1,537,044.40	7,564.70
ABLAYAN	74,718.80	74,718.80	0.00	74,718.80	74,718.80	0.00
BABAYONGAN	104,661.40	104,661.40	0.00	104,661.40	104,661.40	0.00
BALUD	303,871.80	304,467.30	595.50	303,871.80	304,467.30	595.50
BANHIGAN	160,868.69	160,133.49	(735.20)	160,868.69	160,133.49	(735.20)
BULAK	162,424.94	161,298.44	(1,126.50)	162,424.94	161,298.44	(1,126.50)
CALERIOHAN	101,032.10	101,032.10	0.00	101,032.10	101,032.10	0.00
CALIONGAN	102,198.10	102,198.10	0.00	102,198.10	102,198.10	0.00
CASAY	729,154.93	731,638.73	2,483.80	729,154.93	731,638.73	2,483.80
CATOLOHAN	165,138.80	165,138.80	0.00	165,138.80	165,138.80	0.00
CAWAYAN	603,134.18	604,141.78	1,007.60	603,134.18	604,141.78	1,007.60
CONSOLACION	198,113.60	199,706.90	1,593.30	198,113.60	199,706.90	1,593.30
CORO	299,400.80	312,352.10	12,951.30	299,400.80	312,352.10	12,951.30
DUGYAN	39,319.40	39,319.40	0.00	39,319.40	39,319.40	0.00
DUMALAN	268,576.05	269,167.65	591.60	268,576.05	269,167.65	591.60
JOLOMAYNON	183,516.94	184,957.24	1,440.30	183,516.94	184,957.24	1,440.30
LANAO	520,664.30	523,340.00	2,675.70	520,664.30	523,340.00	2,675.70
LANGKAS	94,304.60	94,410.20	105.60	94,304.60	94,410.20	105.60
LUMBANG	135,085.83	134,345.63	(740.20)	135,085.83	134,345.63	(740.20)
MALONES	281,036.56	281,036.56	0.00	281,036.56	281,036.56	0.00
MALORAY	61,278.20	61,622.90	344.70	61,278.20	61,622.90	344.70
MANANGGAL	217,231.10	217,336.10	105.00	217,231.10	217,336.10	105.00
MANLAPAY	252,072.76	252,093.26	20.50	252,072.76	252,093.26	20.50
MANTALONGON	561,010.50	567,772.10	6,761.60	561,010.50	567,772.10	6,761.60
NALHUB	104,238.00	104,238.00	0.00	104,238.00	104,238.00	0.00
OBO	121,731.30	121,819.00	87.70	121,731.30	121,819.00	87.70
OBONG	327,002.90	327,787.70	784.80	327,002.90	327,787.70	784.80
PANAS	100,739.90	101,810.10	1,070.20	100,739.90	101,810.10	1,070.20
SACSAC	559,980.30	553,686.30	(6,294.00)	559,980.30	553,686.30	(6,294.00)
SALUG	154,500.80	154,932.10	431.30	154,500.80	154,932.10	431.30
TABON	163,767.49	163,767.49	0.00	163,767.49	163,767.49	0.00
TAPON	510,099.10	515,298.30	5,199.20	510,099.10	515,298.30	5,199.20
TUBA	240,650.34	241,913.24	1,262.90	240,650.34	241,913.24	1,262.90
TOTAL	9,431,004.21	9,469,185.61	38,181.40	9,431,004.21	9,469,185.61	38,181.40

Municipality of Dalaguete**Schedule of cash advances in excess of the DO's maximum cash accountability
CY 2022**

Date	Check No.	Particulars	Amount
1/12/2022	0000100405	CA Salaries & Wages Jan. 1-15, 2022 (Reg/Cas Employees)	₱1,301,226.54
1/31/2022	0000107583	CA Salaries & wages Jan 16-31, 2022 (JO's, Project Base)	1,049,017.27
2/17/2022	0000107694	CA Salaries & Wages-Feb.1-15,2022 (Job Order, Projects)	1,176,348.78
2/28/2022	0000107744	CA Salaries & Wages Feb. 1-18, 2022 (J.Os, Projects)	1,101,600.31
3/16/2022	0000107806	CA Salaries & Wages for Mar 1-15, 2022 (Engaged Service)	1,297,401.31
3/21/2022	0000089073	CA Cash assistance for Typhoon Odette (payroll)	1,200,000.00
4/01/2022	0000107922	CA Salaries & Wages Mar 16-31, 2022 MGD Employees	1,404,709.69
4/13/2022	0000107964	CA Salaries & Wages for April1-15,2022 MGD Employees	1,225,618.35
4/28/2022	0000108007	CA salaries & wages for April 16-30, 2022 MGD employees	1,120,006.61
5/17/2022	0000108069	CA Midyear Bonus CY 2022	2,802,345.35
5/18/2022	0000108102	CA Salaries & Wages forMay1-15, 2022 MGD Employees	1,215,185.48
5/31/2022	0000108192	CA Salaries & Wages May16-31,2022 (MGD Employees/ES	1,343,611.20
6/16/2022	0000108292	CA Salaries/Wages June1-15, 2022	1,231,604.28
6/20/2022	0000089092	CA Payroll 2017-2022 Phic Maternal & Newborn Package	1,479,350.00
7/29/2022	0000122536	CA Salaries & wages for July 16-31,2022 MGD Employees	1,057,007.21
8/18/2022	0000122610	CA Salaries & Wages Aug1-15, 2022 (MGD Employees)	1,430,173.01
8/31/2022	0000122676	CA Salaries & wages Aug16-31,2022 MGD Employees	1,660,742.83
9/15/2022	0000122721	CA Monetization, RATA, Salaries & Wages MGD employees	1,507,076.82
9/16/2022	0000122767	CA salaries & wages Sept 1-15,2022 for MGD Employees	1,037,710.66
9/30/2022	0000122893	CA Salaries & wages Sept 16-30,2022 MGD Employees	1,298,183.30
10/14/2022	0000123027	CA Senior Citizens Week Celebration Oct.19 & 21, 2022	2,080,900.00
10/18/2022	0000123036	CA Salaries & Wages for Oct 1-15, 2022 MGD Employees	1,390,522.02
10/26/2022	0000123078	CA Salaries & Wages Oct16-31, 2022 MGD Employees	1,339,168.90

Date	Check No.	Particulars	Amount
10/26/2022	0000123079	CA PBB for CY2021 for MGD Employees	1,721,249.41
11/08/2022	0000089141	CA Cash Assistance For TUPAD Beneficiaries Workers	12,214,800.00
11/16/2022	0000123215	CA Salaries & Wages Nov1-15, 2022 (MGD Employees)	1,570,560.59
11/28/2022	0000123273	CA Yearend 14thpay w/ Cash Gift for Separated Employee	3,193,624.20
11/29/2022	0000123298	CA Salaries & Wages Nov16-30, 2022 (MGD Employees)	1,397,500.52
12/16/2022	0000123356	CA Salaries & Wages Dec 1-15, (MGD, Engaged Service)	1,865,739.26
12/28/2022	0000135422	CA Salaries & Wages for the Period Dec 16-31,2022	1,718,952.74
12/28/2022	0000135427	CA SRI CY2022 MGD Officials /Employees	2,354,715.96

Municipality of Dalaguete
Unimplemented Projects Funded from the Continuing Appropriations of the 20 per cent
Development Fund
As of December 31, 2022

Programs/Projects and Activities	Appropriations
Continuing Appropriations – Y2017	
Land Acquisition	₱323,553.10
Continuing Appropriations – Y2018	
Kalahi-CIDSS Counterpart	₱3,890,036.94
Land Acquisition	2,000,000.00
Dalaguete Bio-Diversity Conservation Project	500,000.00
Local Tourism Promotion & Development-Mag-alambak Forest Park	200,000.00
Urban Dalaguete Drainage & Sewerage Project	162,546.35
Street Lighting & Electrification Project	55,570.42
Local Tourism Promotion & Development -Osmeña Peak	42,924.99
Reformatting of Mantalongon/Dalaguete Public Market	29,847.23
Subtotal	₱6,880,925.93
Continuing Appropriations – Y2019	
Waste Water Treatment Facility	₱3,000,000.00
Land Acquisition	1,000,000.00
Human Resource & Livelihood Development	904,493.68
Const. of Sta Cruz Parks and Playgrounds	646,297.07
Material Recovery Facility	500,000.00
Local Tourism Promotion & Development-Obong Spring	406,432.50
Street Lighting & Electrification Project	341,035.62
Urban Dalaguete Drainage & Sewerage Project	272,252.50
Rehabilitation of Casa Real	33,034.37
Upgrading of Municipal & Barangay Road Project	12,953.92
Subtotal	₱7,116,499.66
Continuing Appropriations – Y2020	
Rehabilitation of Sanitary Landfill	₱4,739,770.00
Land Acquisition	2,500,000.00
Street Lighting & Electrification Project	1,589,061.95
Improvement of Slaughterhouse at Cansusi	1,000,000.00
Local Tourism Promotion & Development-Other Site Developments	629,215.44
Counterpart Funds for Nationally Funded Projects	240,951.11
Upgrading of Municipal & Barangay Road Project	143,664.52
Subtotal	₱10,842,663.02
Continuing Appropriations – Y2021	
Rehabilitation of Sanitary Landfill	₱9,100,000.00
Land Acquisition	2,000,000.00
Street Lighting & Electrification Project	2,000,000.00
Conservation of Heritage Structure	463,749.67
Counterpart Funds for Nationally Funded Projects	443,878.41
Upgrading of Municipal & Barangay Road Project	199,199.60
Subtotal	₱14,206,827.68
Grand Total	₱39,370,469.39

Municipality of Dalaguete
Statement of Financial Position
General Fund
As at December 31, 2022

	2022	2021
ASSETS		
<i>Current Assets</i>		
Cash and Cash Equivalents	258,936,677.49	148,592,987.79
Receivables	25,606,146.45	25,974,807.59
Inventories	32,968,377.49	14,646,893.48
Prepayments and Deferred Charges	2,334,678.09	2,005,586.89
Total Current Assets	319,845,879.52	191,220,275.75
<i>Non-Current Assets</i>		
Property, Plant and Equipment	535,729,515.49	504,272,128.33
Biological Assets	300,000.00	300,000.00
Intangible Assets	82,666.51	149,666.59
Total Non-Current Assets	536,112,182.00	504,721,794.92
Total Assets	855,958,061.52	695,942,070.67
LIABILITIES		
<i>Current Liabilities</i>		
Financial Liabilities	48,090,941.82	27,761,402.29
Inter-Agency Payables	6,992,972.73	6,273,165.54
Intra-Agency Payables	17,803,172.54	19,926,946.77
Trust Liabilities	1,735,507.96	3,499,018.08
Deferred Credits/Unearned Income	9,108,396.56	6,911,432.88
Other Payables	581,340.56	1,238,773.22
Total Current Liabilities	84,312,332.17	65,610,738.78
<i>Non-Current Liabilities</i>		
Financial Liabilities	32,456,371.98	40,232,426.80
Deferred Credits/Unearned Income	3,937,951.84	2,907,525.15
Total Non-Current Liabilities	36,394,323.82	43,139,951.95
Total Liabilities	120,706,655.99	108,750,690.73
NET ASSETS/EQUITY		
Government Equity	735,251,405.53	587,191,379.94
Total Liabilities and Net Assets/Equity	855,958,061.52	695,942,070.67

Municipality of Dalaguete
Statement of Financial Performance
General Fund
For the Year Ended December 31, 2022

	2022	2021
Revenue		
Tax Revenue	14,683,054.98	15,114,096.77
Share from Internal Revenue Collections	285,800,022.00	203,656,322.00
Other Share from National Taxes	55,048.77	129,897.96
Service and Business Income	29,663,597.59	29,166,311.25
Shares, Grants and Donations	482,709.83	137,707.57
Total Revenue	330,684,433.17	248,204,335.55
Less: Current Operating Expenses		
Personnel Services	83,810,364.47	77,045,959.07
Maintenance and Other Operating Expenses	99,210,964.34	79,271,527.51
Non-cash Expenses	34,538,138.40	29,667,693.89
Current Operating Expenses	217,559,467.21	185,985,180.47
Surplus (Deficit) from Current Operation	113,124,965.96	62,219,155.08
Add (Deduct):		
Transfers, Assistance and Subsidy To	(4,640,212.11)	(3,705,377.58)
Miscellaneous Income	1,852,138.50	145,981.51
Surplus (Deficit) for the period	110,336,892.35	58,659,759.01

Municipality of Dalaguete
Statement of Changes in Net Assets/Equity
General Fund
For the Year Ended December 31, 2022

	2022	2021
Balance at January 1,	587,191,379.94	460,878,046.58
Add (Deduct)		
Change in Accounting Policy		
Prior Period Errors	46,223,741.07	69,721,041.85
Restated Balance	633,415,121.01	530,599,088.43
Add (Deduct) Changes in net assets/equity during the year		
Surplus (Deficit) for the period	110,336,892.35	58,659,759.01
Adjustment of net revenue recognized directly in net assets/equity	(8,500,607.83)	(2,067,467.50)
Total recognized revenue and expenses for the period	101,836,284.52	56,592,291.51
Balance at December 31,	735,251,405.53	587,191,379.94

Municipality of Dalaguete
Statement of Cash Flows
General Fund
For the Year Ended December 31, 2022

	2022	2021
Cash Flows from Operating Activities		
<i>Cash Inflows</i>		
Collection from taxpayers	18,620,085.66	18,929,124.32
Share from Internal Revenue Allotment	285,800,022.00	203,656,322.00
Receipts from business/service income	29,646,029.81	27,460,898.58
Interest Income	74,919.27	62,044.17
Other Receipts	121,706,641.71	65,866,233.78
Total Cash Inflows	455,847,698.45	315,974,622.85
<i>Cash Outflows</i>		
Payments of expenses	37,187,541.07	35,417,875.38
Payments to suppliers and creditors	54,815,870.50	20,443,510.90
Payments to employees	93,122,864.03	75,778,390.40
Other Disbursements	144,323,109.15	122,186,594.32
Total Cash Outflows	(329,449,384.75)	(253,826,371.00)
Net Cash Flows from Operating Activities	126,398,313.70	62,148,251.85
Cash Flows from Investing Activities		
<i>Cash Inflows</i>		
Collection of Principal on loans to other entities	-	-
Total Cash Inflows	-	-
<i>Cash Outflows</i>		
Purchase/Construction of Investment Property		
Purchase/Construction of Property, Plant and Equipment	7,720,397.53	6,803,681.18
Purchase of Intangible Assets	0.00	94,642.85
Total Cash Outflows	(7,720,397.53)	(6,898,324.03)
Net Cash Flows from Investing Activities	(7,720,397.53)	(6,898,324.03)
Cash Flows from Financing Activities		
<i>Cash Inflows</i>		
Proceeds from Loans	-	-
Total Cash Inflows	-	-
<i>Cash Outflows</i>		
Payment of Long-Term Liabilities	8,334,226.47	8,409,743.59
Total Cash Outflows	8,334,226.47	8,409,743.59
Net Cash Flows from Financing Activities	(8,334,226.47)	(8,409,743.59)
Total Cash Provided by Operating, Investing and Financing Activities	110,343,689.70	46,840,184.23
Add: Cash at the Beginning of the year	148,592,987.79	101,752,803.56
Cash Balance at the End of the Year	258,936,677.49	148,592,987.79

**Municipality of Dalaguete
Statement of Financial Position
Special Education Fund
As at December 31, 2022**

	2022	2021
ASSETS		
<i>Current Assets</i>		
Cash and Cash Equivalents	11,031,910.61	8,316,989.78
Receivables	8,749,131.26	5,700,615.03
Inventories	697,504.90	432,731.80
Prepayments and Deferred Charges	785,837.30	590,527.65
Total Current Assets	21,264,384.07	15,040,864.26
<i>Non-Current Assets</i>		
Property, Plant and Equipment	3,734,004.02	4,025,758.75
Total Non-Current Assets	3,734,004.02	4,025,758.75
Total Assets	24,998,388.09	19,066,623.01
LIABILITIES		
<i>Current Liabilities</i>		
Financial Liabilities	697,504.90	595,731.80
Inter-Agency Payables	1,506,407.22	331,119.96
Intra-Agency Payables	120,823.23	111,945.27
Trust Liabilities	-	-
Deferred Credits/Unearned Income	7,720,499.06	5,497,101.84
Provisions	-	-
Other Payables	30,000.00	30,000.00
Total Current Liabilities	10,075,234.41	6,565,898.87
<i>Non-Current Liabilities</i>		
Financial Liabilities	-	-
Deferred Credits/Unearned Income	3,937,607.42	2,938,474.55
Provisions	-	-
Total Liabilities	14,012,841.83	9,504,373.42
NET ASSETS/EQUITY		
Government Equity	10,985,546.26	9,562,249.59
Total Liabilities and Net Assets/Equity	24,998,388.09	19,066,623.01

Municipality of Dalaguete
Statement of Financial Performance
Special Education Fund
For the Year Ended December 31, 2022

	2022	2021
Revenue		
Tax Revenue	4,380,883.88	5,100,933.75
Service and Business Income	4,965.55	3,234.33
Total Revenue	4,385,849.43	5,104,168.08
Less: Current Operating Expenses		
Maintenance and Other Operating Expenses	1,892,811.33	123,166.87
Non-cash Expenses	184,349.04	186,646.92
Current Operating Expenses	2,077,160.37	309,813.79
Surplus (Deficit) from Current Operation	2,308,689.06	4,794,354.29
Add (Deduct):		
Transfers, Assistance and Subsidy To	(777,986.70)	(1,264,340.00)
Surplus (Deficit) for the period	1,530,702.36	3,530,014.29

Municipality of Dalaguete
Statement of Changes in Net Assets/Equity
Special Education Fund
For the Year Ended December 31, 2022

	2022	2021
Balance at January 1,	<u>9,562,249.59</u>	<u>6,032,235.30</u>
Add (Deduct)		
Prior Period Errors	(107,405.69)	-
Restated Balance	<u>9,454,843.90</u>	<u>6,032,235.30</u>
Add (Deduct) Changes in net assets/equity during the year		
Surplus (Deficit) for the period	<u>1,530,702.36</u>	<u>3,530,014.29</u>
Total recognized revenue and expenses for the period	<u>1,530,702.36</u>	<u>3,530,014.29</u>
Balance at December 31,	<u>10,985,546.26</u>	<u>9,562,249.59</u>

Municipality of Dalaguete
Statement of Condensed Cash Flows
Special Education Fund
For the Year Ended December 31, 2022

	2022	2021
Cash Flows from Operating Activities		
Cash Inflows		
Collection from taxpayers	5,769,973.97	6,270,889.53
Interest Income	3,972.44	2,587.46
Other Receipts	2,398,645.34	2,333,649.86
Total Cash Inflows	8,172,591.75	8,607,126.85
Cash Outflows		
Payments of expenses	1,308,175.90	67,122.65
Payments to suppliers and creditors	568,517.59	435,357.15
Payments to employees	829,553.44	9,600.00
Interest Expense	-	-
Other Disbursements	2,751,423.99	4,984,317.81
Total Cash Outflows	(5,457,670.92)	(5,496,397.61)
Net Cash Flows from Operating Activities	2,714,920.83	3,110,729.24
Cash Flows from Investing Activities		
Cash Inflows		
Proceeds from Sale of Non-Current Investments	-	-
Total Cash Inflows	-	-
Cash Outflows		
Grant of Loans	-	-
Total Cash Outflows	-	-
Net Cash Flows from Investing Activities	-	-
Cash Flows from Financing Activities		
Cash Inflows		
Proceeds from Loans	-	-
Total Cash Inflows	-	-
Cash Outflows		
Payment of loan amortization	-	-
Total Cash Outflows	-	-
Net Cash Flows from Financing Activities	-	-
Total Cash Provided by Operating, Investing and Financing Activities	2,714,920.83	3,110,729.24
Add: Cash at the Beginning of the year	8,316,989.78	5,206,260.54
Cash Balance at the End of the Year	11,031,910.61	8,316,989.78

Municipality of Dalaguete
Statement of Financial Position
Trust Fund
As at December 31, 2022

	2022	2021
ASSETS		
<i>Current Assets</i>		
Cash and Cash Equivalents	64,189,698.42	61,012,498.72
Receivables	4,809,907.81	4,841,932.06
Inventories	-	2,808,081.52
Total Current Assets	68,999,606.23	68,662,512.30
<i>Non-Current Assets</i>		
Property, Plant and Equipment	8,897,175.34	4,250,430.69
Total Non-Current Assets	8,897,175.34	4,250,430.69
Total Assets	77,896,781.57	72,912,942.99
LIABILITIES		
<i>Current Liabilities</i>		
Financial Liabilities	6,191.95	3,377,575.93
Inter-Agency Payables	51,712,500.59	43,943,863.30
Intra-Agency Payables	1,888,994.55	730,363.65
Trust Liabilities	21,673,653.32	21,447,759.50
Deferred Credits/Unearned Income	-	-
Provisions	-	-
Other Payables	2,615,441.16	3,413,380.61
Total Current Liabilities	77,896,781.57	72,912,942.99
<i>Non-Current Liabilities</i>		
Financial Liabilities	-	-
Total Non-Current Liabilities	-	-
Total Liabilities	77,896,781.57	72,912,942.99
NET ASSETS/EQUITY		
Government Equity	-	-
Total Liabilities and Net Assets/Equity	77,896,781.57	72,912,942.99

Municipality of Dalaguete
Statement of Financial Performance
Trust Fund
For the Year Ended December 31, 2022

	2022	2021
Revenue		
Tax Revenue	-	-
Total Revenue	-	-
Less: Current Operating Expenses		
Personnel Services	-	-
Maintenance and Other Operating Expenses	1,250,824.61	2,049,742.81
Non-cash Expenses	-	-
Financial Expenses	-	-
Current Operating Expenses	1,250,824.61	2,049,742.81
Surplus (Deficit) from Current Operation	(1,250,824.61)	(2,049,742.81)
Add (Deduct):		
Transfers, Assistance and Subsidy From	1,250,824.61	2,049,742.81
Transfers, Assistance and Subsidy To	-	-
Miscellaneous Income	-	-
Surplus (Deficit) for the period	-	-

Municipality of Dalaguete
Statement of Condensed Cash Flows
Trust Fund
For the Year Ended December 31, 2022

	2022	2021
Cash Flows from Operating Activities		
<i>Cash Inflows</i>		
Interest Income	31,567.72	25,839.76
Other Receipts	75,008,451.59	43,526,712.65
Total Cash Inflows	75,040,019.31	43,552,552.41
<i>Cash Outflows</i>		
Payments of expenses	5,791,916.57	8,215,235.82
Payments to suppliers and creditors	3,197,457.06	2,371,081.23
Payments to employees	18,550,341.76	6,353,274.46
Other Disbursements	32,632,252.42	4,351,126.24
Total Cash Outflows	(60,171,967.81)	(21,290,717.75)
Net Cash Flows from Operating Activities	14,868,051.50	22,261,834.66
Cash Flows from Investing Activities		
<i>Cash Inflows</i>		
Collection of Principal on loans to other entities	-	-
Total Cash Inflows	-	-
<i>Cash Outflows</i>		
Purchase/Construction of Property, Plant and Equipment	11,690,851.80	5,806,697.85
Total Cash Outflows	(11,690,851.80)	(5,806,697.85)
Net Cash Flows from Investing Activities	(11,690,851.80)	(5,806,697.85)
Cash Flows from Financing Activities		
<i>Cash Inflows</i>		
Proceeds from Loans	-	-
Total Cash Inflows	-	-
<i>Cash Outflows</i>		
Payment of loan amortization	-	-
Total Cash Outflows	-	-
Net Cash Flows from Financing Activities	-	-
Total Cash Provided by Operating, Investing and Financing Activities	3,177,199.70	16,455,136.81
Add: Cash at the Beginning of the year	61,012,498.72	44,557,361.91
Cash Balance at the End of the Year	64,189,698.42	61,012,498.72